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**Alpha Inc.**

**Palmetto Partners**



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# Executive Summary



Project Alpha is a full-service Mechanical, Electrical, and Plumbing (MEP) contractor headquartered in Greenwood, MS, generating ~\$168M in revenue across four divisions servicing hospitals, schools, and industrial clients throughout the Sunbelt

## Why Now

1

Favorable timing, supported by Sunbelt-driven construction growth, expanding data center demand, and aging infrastructure

## Value Creation

2

Established scalable M&A platform, expanding across high-growth Sunbelt market, and margin expansion through BIM utilization

## Why Private Equity

3

Service-heavy revenue mix creates stable cash flows, underpinned by a strong economic moat built through size and horizontal integration

## Returns

4

At an entry/exit valuation of 7.5X EBITDA, returns are supported through margin expansion and deleveraging over the hold period, resulting in a projected 24% IRR and 2.9x MoM

**This Investment offers defensive recurring revenue with multiple clear value creation paths**



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## II. Company Overview

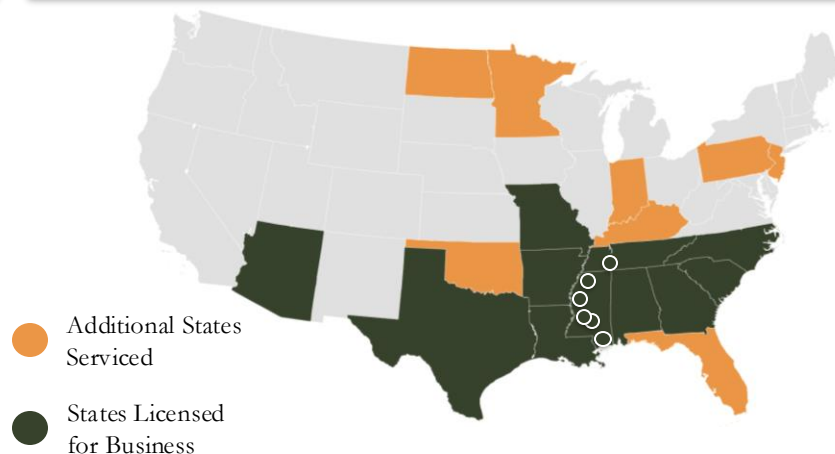
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# Business Description

## Company Profile

- Full-service MEP contractor - designs, installs, and services HVAC, plumbing, and electrical systems for commercial, industrial, and institutional buildings
- Among very few regional providers offering full MP&E scope at this scale in the Mississippi/Sunbelt region
- 78% of FY2022 revenue is retrofit, replacement, and service-related work
- \$70M+ bonding capacity and 26-year average management tenure create customer relationship and operation depth competitors cannot quickly replicate

## Geographic Breakdown



## Company Profile

Founded:  
**1970**

Headquarters:  
**Greenwood, MS**

Offices:  
**MS (6), TN, FL**

Employees:  
**525+**

LTM Revenue:  
**\$168.2M**

Adj. EBITDA:  
**\$28.7M(17.1%)**

## Financial Overview

|                                            | 2019A            | 2020A            | 2021A            | 2022A            |
|--------------------------------------------|------------------|------------------|------------------|------------------|
| <b>Revenue</b>                             | <b>\$118,285</b> | <b>\$101,821</b> | <b>\$125,403</b> | <b>\$168,194</b> |
| <i>% Growth</i>                            |                  | (13.9%)          | 23.2%            | 34.1%            |
| Less: COGS (excl.D&A)                      | (89,528)         | (78,440)         | (93,980)         | (121,710)        |
| <b>Gross Profit</b>                        | <b>\$28,757</b>  | <b>\$23,381</b>  | <b>\$31,424</b>  | <b>\$46,484</b>  |
| <i>% Margin</i>                            | 24.3%            | 23.0%            | 25.1%            | 27.6%            |
| Less: SG&A                                 | (13,323)         | (13,917)         | (18,002)         | (19,308)         |
| Less: D&A                                  | (973)            | (1,043)          | (1,043)          | (982)            |
| Less: Ammortization of Intangibles Writeup | --               | --               | --               | --               |
| <b>EBIT</b>                                | <b>\$14,461</b>  | <b>\$8,421</b>   | <b>\$12,378</b>  | <b>\$26,194</b>  |
| Less: Tax Expense                          | --               | --               | --               | --               |
| <b>EBT</b>                                 | <b>\$14,461</b>  | <b>\$8,421</b>   | <b>\$12,378</b>  | <b>\$26,194</b>  |
| Less: Interest Income / (Expense)          | (72)             | (37)             | (34)             | 101              |
| Less: Other Income / (Expense)             | 201              | 1,603            | 8,020            | 2,350            |
| Less: Gain / (Loss) on Sale of Assets      | 48               | 39               | 38               | (1)              |
| <b>Net Income</b>                          | <b>\$14,638</b>  | <b>\$10,025</b>  | <b>\$20,403</b>  | <b>\$28,644</b>  |

# Business Description



**Backlog:**  
\$121M

**Bonding capacity:**  
\$70M+

**Type:**  
Majority  
recapitalization

**Seller rollover:**  
10-20%

**Entry multiple:**  
7.5x

## Diversified, Non-Cyclical End Markets

|                                                                                   |            |                                                                                   |            |
|-----------------------------------------------------------------------------------|------------|-----------------------------------------------------------------------------------|------------|
|  | Healthcare |  | Education  |
|  | Industrial |  | Government |

## Business Model

- 1 Win a low-margin planned maintenance agreement
- 2 Become the customers ongoing service provider
- 3 Capture high-margin retrofit, replacement, and maintenance work

## Tenured, Aligned Management

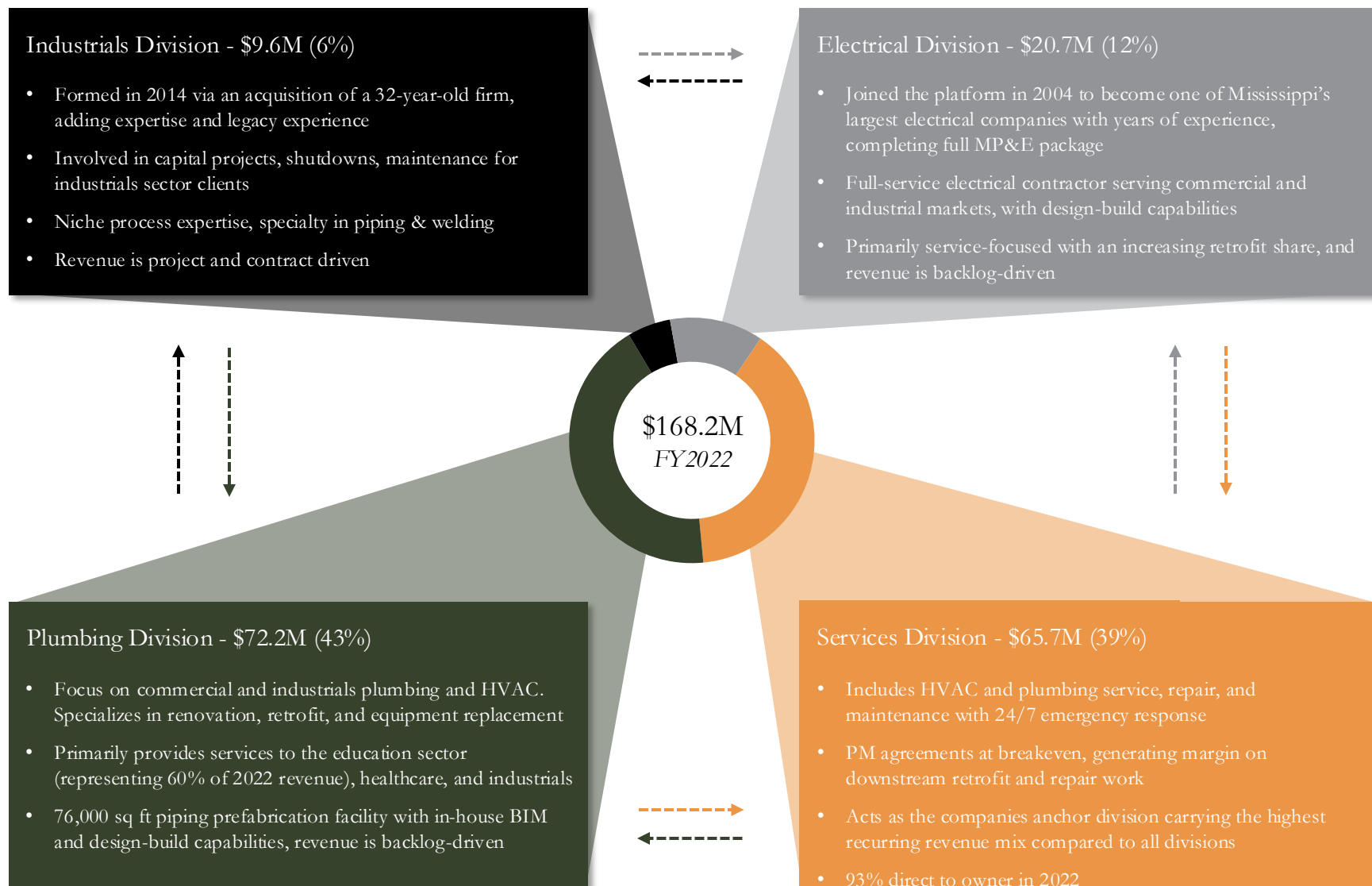
*26-year average management tenure; founding family retains 10-20% equity post-transaction*

|                                |  |          |
|--------------------------------|--|----------|
| Robbie Upchurch - President    |  | 46 Years |
| Mike Upchurch - Vice President |  | 44 Years |
| David Upchurch - Treasurer     |  | 39 Years |
| Cindy Hawkins – Secretary      |  | 37 Years |

**165+**  
Years of  
Experience

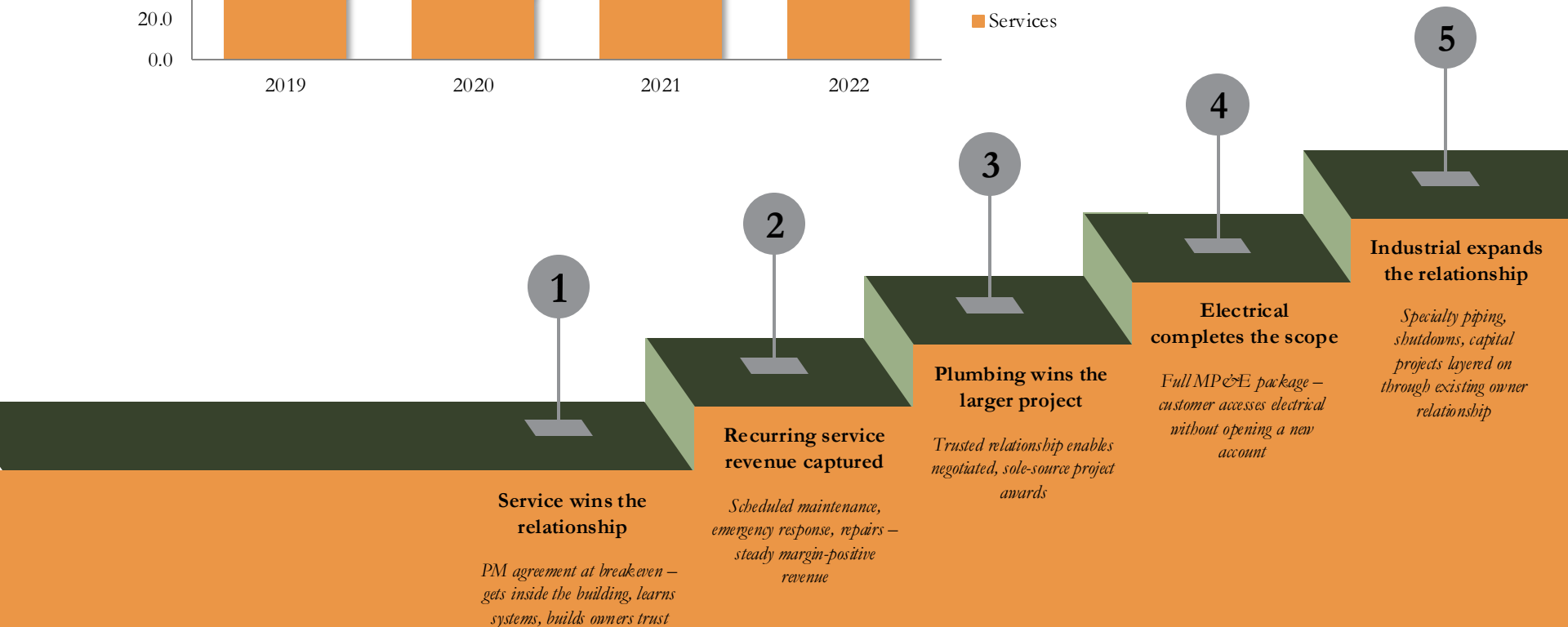
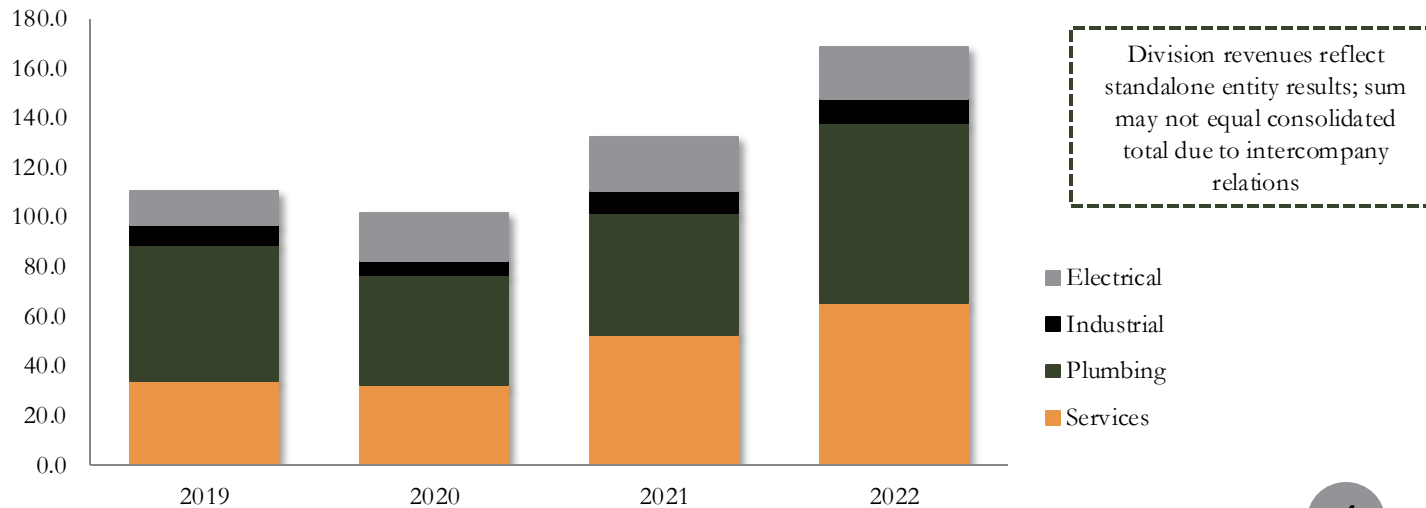


# Products & Services



# For Divisions, One Integrated Platform

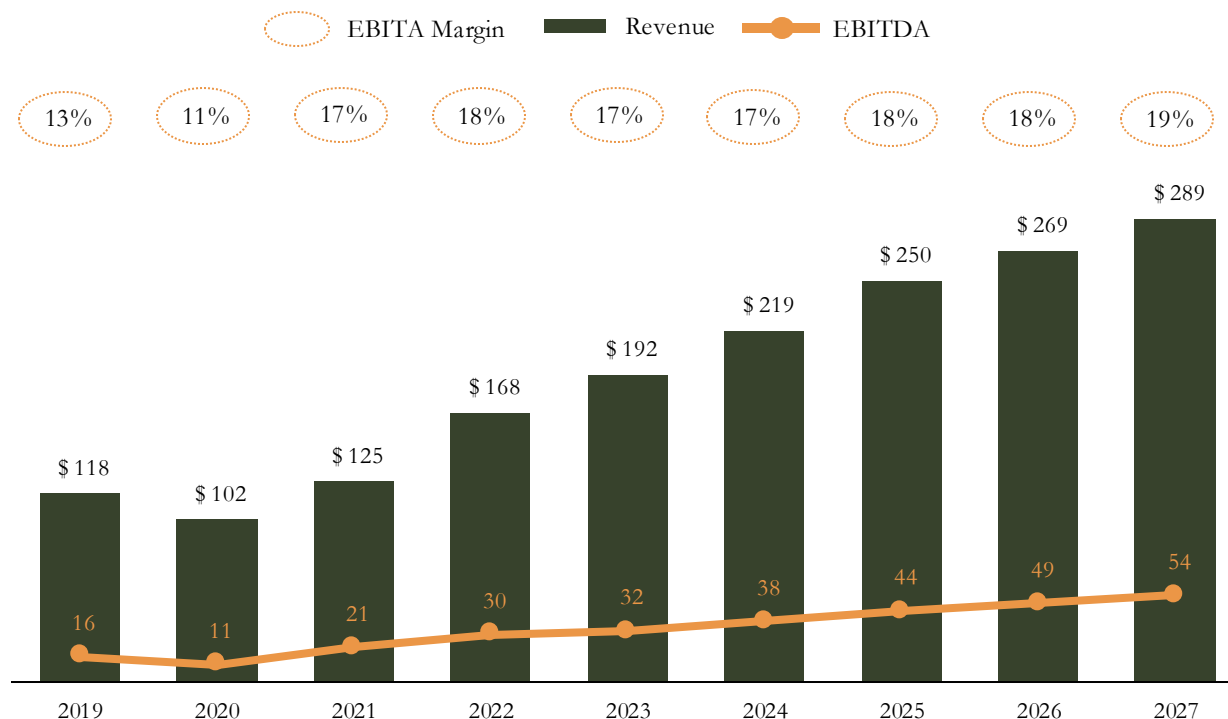
Revenue By Division, 2019-2022 (\$M)



# Durable Revenue Growth with Structural Margin Expansion

*Consistent revenue growth with expanding margins demonstrates operational leverage and recession resilience*

## Revenue & EBITDA Growth (\$M)



## Commentary

- Revenue grew from \$118M to \$168M (FY19-FY22) at a 12% annual growth rate, supported by diversified service lines and long-term customer relationships
- EBITDA nearly tripled from \$11M to ~\$30M (FY20-FY22), nearly tripling while revenue grew 22% over the same period
- Margins expanded from 13%-18% as management shifted toward repair and service work – 78% of FY2022 revenue is retrofit, replacement, and service – as Alpha deprioritizes low-margin new construction

### **Customer concentration:**

No single customer >15% of revenue in any year; different #1 customer each of the last four years

### **CapEx:**

Primarily vehicles and equipment across all divisions; maintenance-driven and recurring in nature

### **Safety Rating (EMR):**

Service division EMR consistently 0.67-0.83 over 10 years (industry avg: 1.0); all divisions trending below – supports bonding capacity and institutional bid eligibility

# Competitive Positioning

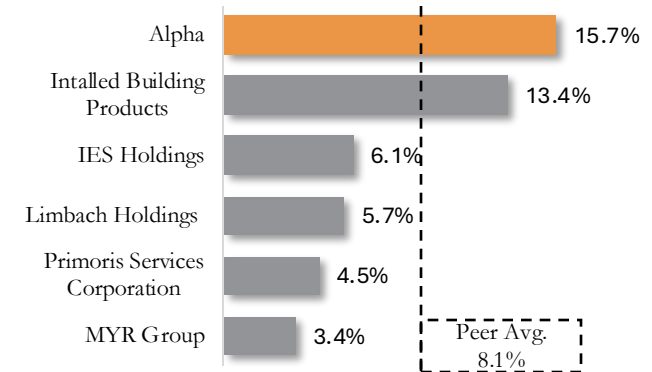
*Alpha is one of the largest full-service MEP contractors in MS and TN – with structural advantages that regional competitors cannot replicate*

## Capability Comparison VS. Regional Peers

| Capability                   | Alpha | Comp A | Comp B | Comp C |
|------------------------------|-------|--------|--------|--------|
| BIM / Prefab                 | ✓     | ✓      | —      | —      |
| In-house sheet metal         | ✓     | ✓      | —      | —      |
| Commercial HVAC + plumbing   | ✓     | ✓      | ✓      | —      |
| Industrial HVAC + plumbing   | ✓     | ✓      | —      | —      |
| Commercial + industrial elec | ✓     | —      | —      | ✓      |
| Millwright + controls        | ✓     | —      | —      | —      |
| Residential plumbing svc     | ✓     | —      | —      | —      |

*Competitors anonymized per CIM. Full 16-capability matrix in appendix.*

## FY2022 Operating Margin VS. Peers



### One contractor, every trade

- Only regional contractor offering all 16 MEP capabilities in-house – competitors check 4-8 boxes on the same matrix
- Full in-house capability eliminates the need for a general contractor intermediary – reducing owner cost and deepening Alphas direct relationships

### Direct-to-owner model

- Services division shifted from 80% to 93% direct-to-owner, 2019-2022 – owners bypassing general contractors to come directly to Alpha
- Industrial division ran at 84-94% direct-to-owner across the same period, reflecting deep relationship capital in a high-trust sector

### Margin discipline

- Management explicitly selects on the most profitable or relationship-enhancing jobs – protecting margin over volume
- 15.7% operating margin is nearly 2x the peer average of 8.1%

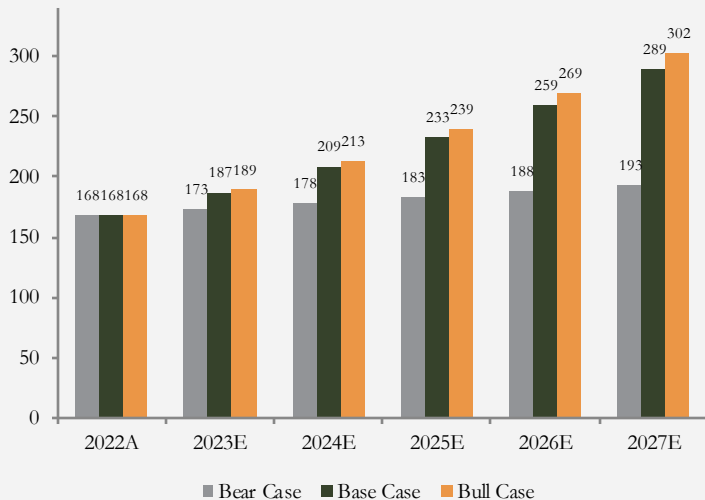
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### **III. Industry & Market Analysis**

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## Market Direction & Growth

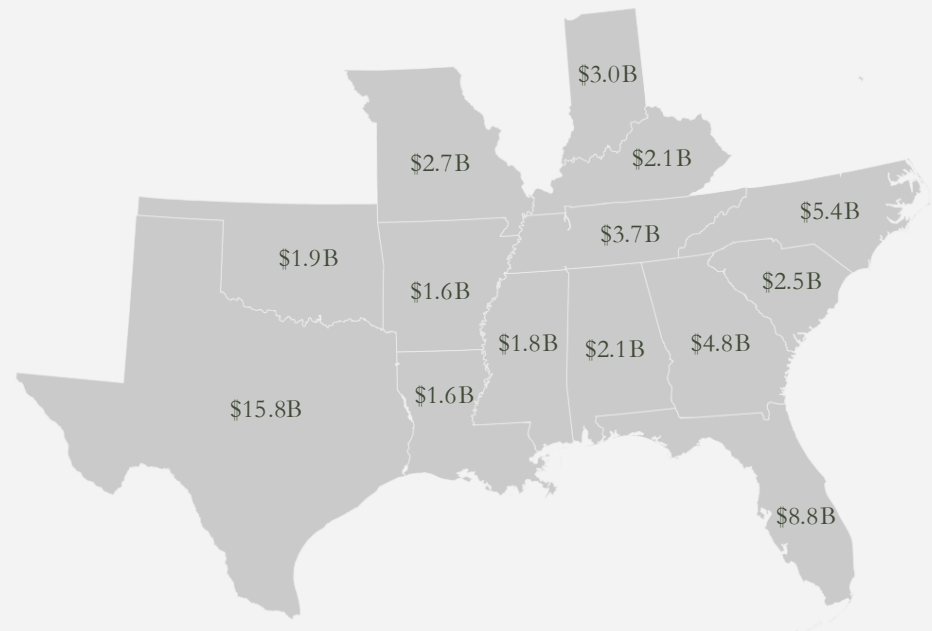
### Predicted Alpha MEP Revenue Growth (\$mm)



“The industry has already taken note as agreements between vendors and end users shift toward long-term relationships and multi-functional bundled contracts rather than single service or basic manpower. MEP growth here as bar chart with figures”

CIM (Pg.95)

### National Infrastructure Investments by Congress



- During the Covid-19 pandemic, Congress pushed legislation to support local governments as part of the overall American Rescue Plan
- A significant portion of the State and Local Fiscal Recover Funds (SLFRF) will be directed towards infrastructure projects including water, sewer, and internet
- In addition, the Treasury Department is providing additional funds to every county within the highlighted states
- In total, over \$57.8 Billion will be distributed and Alphas horizontally integrated business model and cross selling opportunities enable them to benefit materially

# Market Sizing

## MARKET OPPORTUNITY (2022A)

### TAM — US MEP Services

Total US mechanical, electrical & plumbing

**\$29.4B**

### SAM — Southeast US

MS, TN, AR, AL, LA, GA + adjacent SE states

**~\$4.4B**

### Alpha Today (2022A)

~3.8% share of SAM

**\$168M**

## 5-YEAR REVENUE TRAJECTORY (2022A → 2027E)

*All inputs linked with LBO, DCF, and Three Statement*

### BEAR

**\$193M**

2027E Revenue

#### Assumptions

|           |       |
|-----------|-------|
| Revenue   | 2.8%  |
| Margin    | 10.9% |
| SAM Share | 2.5%  |

#### '27E EBITDA

**\$24M**

*DCF terminal growth; 2020 COVID margin low*

### BASE

**\$289M**

2027E Revenue

#### Assumptions

|           |       |
|-----------|-------|
| Revenue   | 11.4% |
| Margin    | 16.2% |
| SAM Share | 3.8%  |

#### '27E EBITDA

**\$47M**

*Ties directly to LBO sheet projections*

### BULL

**\$302M**

2027E Revenue

#### Assumptions

|           |       |
|-----------|-------|
| Revenue   | 12.5% |
| Margin    | 17.6% |
| SAM Share | 4.0%  |

#### '27E EBITDA

**\$53M**

*Historical 2019-22 CAGR; 2022 margin high*

## WHY THIS WINDOW MATTERS

### DEFENSIBLE SIZING

Every scenario input links to our LBO, DCF, or Three Statement

### SUNBELT TAILWIND

SE non-residential construction grew 8.3% YoY in 2023 vs. national — Alpha sits in the fastest-growing region.

### ROLL-UP RUNWAY

Even the bull case leaves Alpha at 4.0% of a single region's MEP spend which has massive fragmented runway remains.

### RECESSION DEFENSE

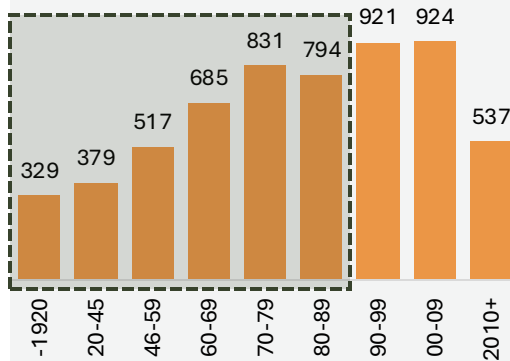
Bear case floor ties to 2020 COVID historical low the worst margin Alpha has ever posted. Also historic negative for almost every industry

# Growing Opportunities

## Aging Building Life

- Much of today's commercial building was built before modern technology standards existed
- The average age of a main instructional building in the U.S. is 49 years

60% of Construction Before 1990



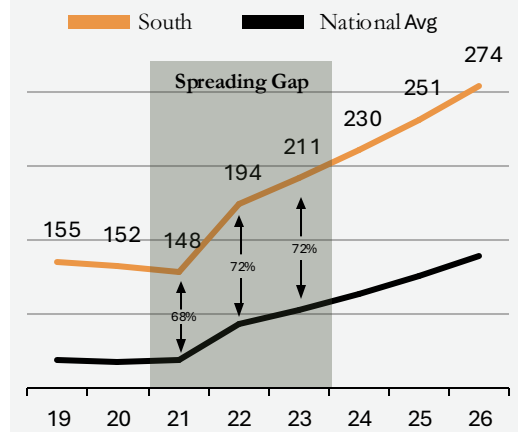
## Data Centers

- The U.S. makes up 40.0% of the world's data center construction market as of H2 2022
- Texas and Virginia were the top states for data center construction investments

“Complete electrical installation, including parallel services, UPS systems, and normal/emergency power. Contract Amount: \$2,830,000”  
CIM (Pg.78)

## Sunbelt Migration

- Sunbelt has the largest U.S. migration inflow in the entire country with a ~1.4% annual population growth
- South's non-residential construction spending is ~70% higher than U.S. avg

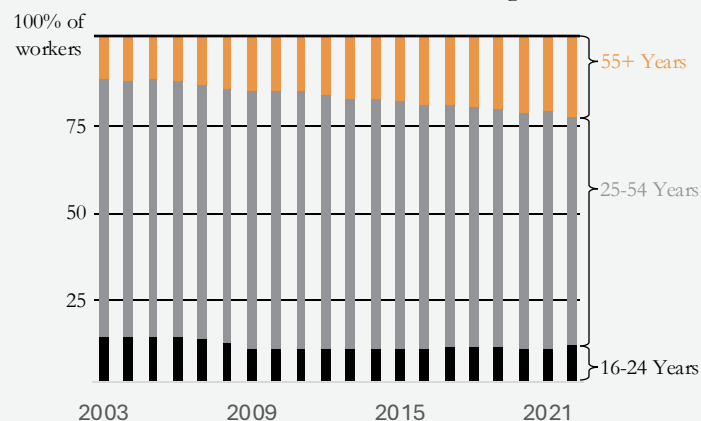


# Industry Headwinds

## Labor

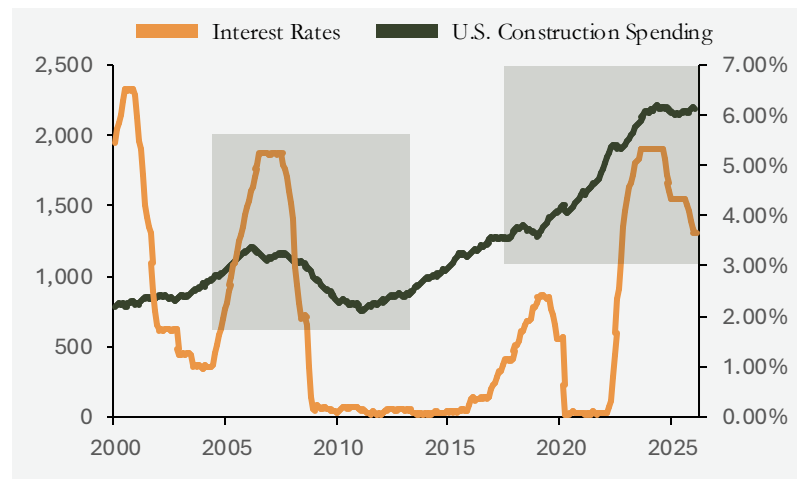
- Labor shortages across MEP trades remain a widespread national issue, with electricians, HVAC, and plumber's experiencing the greatest supply constraints
- The imbalance is being driven mainly by elevated retirement rates among experienced trades people, and the lack of apprenticeship replacement
- Contractors with established labor networks and geographic density are increasingly advantaged, as access to skilled labor is a critical differentiator

Construction Workers are Getting Older

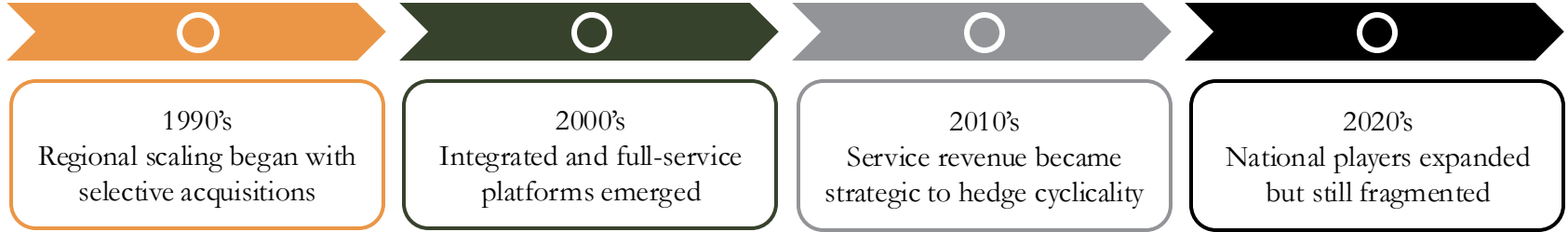


## Interest Rates

- Elevated interest rates continue to pressure private construction plans by increasing borrowing costs and reducing potential returns
- These increased financing cost have led many developers and owners to re-evaluate projects and start dates even under constant demand
- For MEP contractors, these delays will drive lower labor utilization, push revenue recognition into later periods, and compress margins as fixed cost remain steady



# Competitive Landscape



“Additionally, managers will look to extend the life of assets through increased service as opposed to replacement in an effort to save on costs in this inflationary environment.”

CIM (Pg.95)

## Industry Fragmentation

Consolidated

- The large national competitors operate at the engineering and design level – not direct competitors to regional MEP contractors
- Majority regional competitors include single disciplinary contractors and smaller full services firms
- Consolidation is accelerating (e.g. Huron Acquisition of GFS in Oct 2023), suggesting high demand and liquid exit market

Fragmented

## Industries Largest Competitors

Electrical

Mechanical



# Regulatory Environment

1

## Licensing

- MEP contractors must hold state-specific licenses for mechanical, electrical, and plumbing work
- Expansion across states require new licenses, creating a meaningful barrier to entry
- Multi-state operators benefit from established and extensive licensing

2

## Building Codes

- The main regulators include the National Electrical Code, International Plumbing Code
- State/local jurisdictions carry their own mechanical codes
- 65% of MEP firms in the U.S. were not in compliance with the National Electrical Code (NEC)

3

## Bonding

- Bonding refers to third-party financial backing to guarantee work and obligations
- Any government and institutional project requires performance and payment bonds
- Companies with larger scale and have the capacity to provide superior bonding capacity

4

## OSHA

- EMR measures a contractor's workers' compensation claim history
- Above a certain EMR, contractors are not allowed to work on certain projects
- Low EMR reflects strong safety performance and improves eligibility for institutional projects

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## **IV. Investment Thesis & Value Creation Plan**

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# Investment Thesis

**\$168.1M**  
LTM Revenue

**16.7%-18.7%**  
EBITDA Margin

**78%**  
Recurring Revenue

**7.5x**  
Entry Multiple

**24%**  
Target IRR

**2.9x**  
MoM

**5 year**  
Hold Period

**\$47M**  
Exit EBITDA

## Value Creation Through Three Key Levers

### Organic Growth

- BIM & Prefabrication rollout
- Geographic market expansion
- Wallet share in existing accounts

### Margin Improvement

- Prefab drives labor efficiency
- Service mix shift vs. project
- Procurement scale benefits

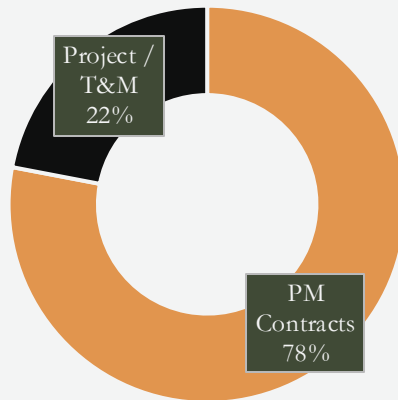
### M&A Consolidation

- Fragmented regional market
- Platform with integration depth
- Multiple arbitrage on exits

Alpha is a \$204M majority recapitalization of a capital-light, full-service MEP contractor with a defensible revenue base that insulates the business against construction cyclicality. Margin expansion from BIM/prefab adoption, combined with Sunbelt infrastructure tailwinds (data centers, industrial migration), creates an organic EBITDA growth path from 16.7% to 18.7%+. At 7.5x entry, Alpha offers a fragmented-market consolidation platform with a defined path for growth.

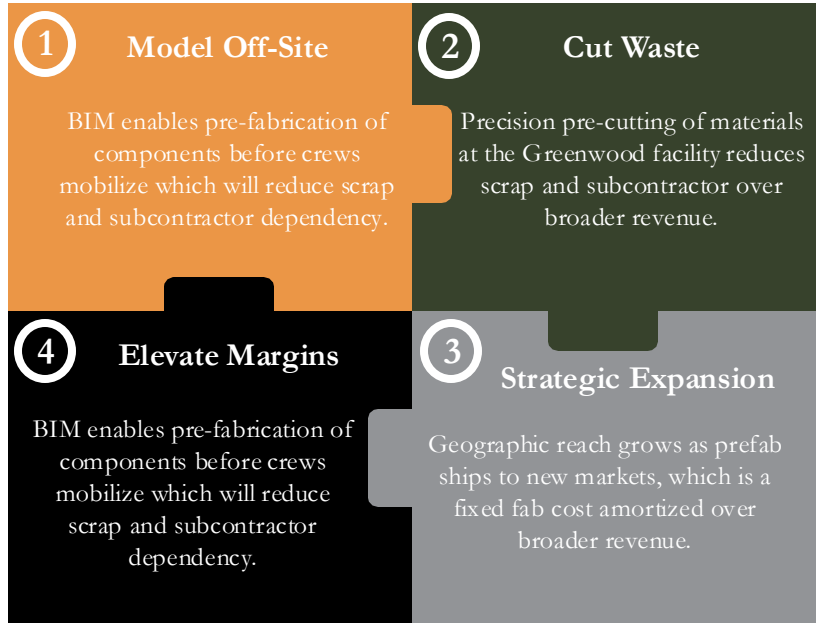
# Recommend: Defensive Revenue Base & Margin Expansion via BIM/Prefab

## Structural not Cyclical Revenue

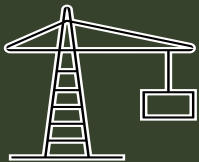


Over 3/4<sup>th</sup> of Alpha's revenue is from locked-in product management contracts that last for the entire lifetime of their products.

## Solving the Puzzle of Margin Catalysts



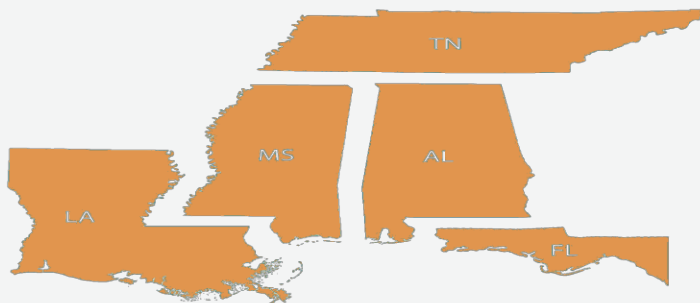
## Owned Asset: Greenwood Facility



In Greenwood, Mississippi, where Alpha was founded and headquartered, Alpha has its own in-house sheet metal fabrication. This reduces on subcontractors, enables prefab at scale, and creates a durable cost advantage competitors cannot easily replicate. This allows for efforts to be focused on margin expansion and increasing the BIM mix rather than reworking a production plan or managing supply chain issues that inevitably arise.

## Recommend: Geographic Expansion into Adjacent Sunbelt Markets

### Target Area



\$15-20M new geographic revenue by Year 3



110 active projects in pipeline in Memphis.



\$7B+ being spent on major projects in New Orleans metropolitan area.



224 new projects generating capital as of 2023.

### Why this Region?

#### Federal Spending

Multi-year MEP-intensive projects with hospitals, schools, and government facilities in the region.

#### Population Migration

Corporate relocation and residential growth generate sustained MEP demand in target metros.

#### Data Centers

Favorable land costs, power rates, and fiber build-out attracting data centers for MEP-intensive projects.

#### Proof: Energy Data Center, Jackson, MS

Alpha recently completed a successful project with Energy Data Center in Jackson, Mississippi. Testament to both the region's growth in the space, but also Alpha's abilities. This project demonstrates replicable MEP capability in a high-complexity, high-margin vertical as the Southeast emerges as a data center hub.

## Recommend: M&A Platform / Buy-and-Build

### Past, Present, and Future of Alpha's M&A

**2004**

Alpha acquired an electrical contractor, layered onto existing service model and PM agreement platform.

**2014**

Alpha later acquired an industrial contractor, expanding their scope into industrial MEP and has had successful integration.

**Now**

With Palmetto backed sourcing and diligence methodologies, Alpha could be positioned for new add-ons to unlock value.

### Quickly Unlock Value for Alpha

**4x**

Acquisition entry  
~\$4M cost for ~\$1M EBITDA

**7.5x**

Platform re-rate  
EBITDA now worth ~\$7.5M

**~\$3.5M**

Value created  
before any operational improvement.

### Potential Acquisitions



Standard Heating and AC is an 85-year operating business that specializes in AC, heating, plumbing, and water heater installation and maintenance.

Headquartered in Birmingham, Alabama, Standard has expanded their reach through all of Birmingham and other parts of central Alabama. Standard fits in perfectly with Alpha's current operations and geographics.



Cajun Electric has been a leader in both residential and commercial electric work for over 15 years. Headquartered in Baton Rouge, Louisiana, Cajun

Electric is known for their high-quality service and their lighting showroom, unlocking new synergies by combining electric maintenance with household decorations, an exciting new opportunity for Alpha.

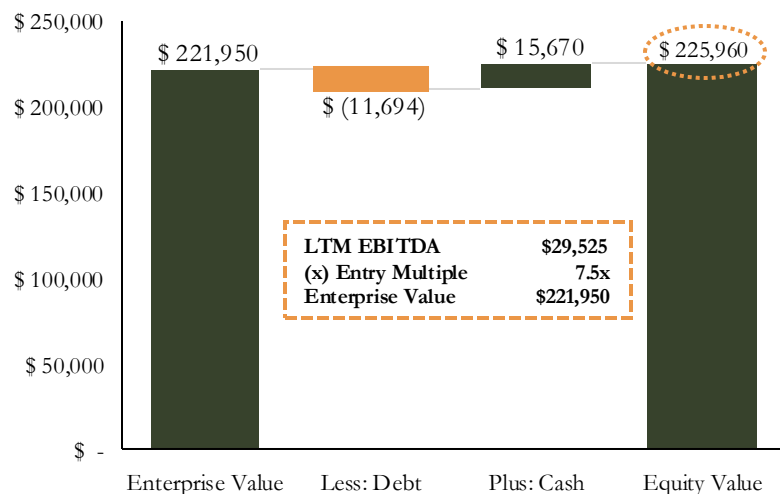
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## V. Deal Structure and Financial Analysis

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# Entry Deal Structure

## Purchase Price



## Sources & Uses

### Sources

|                      |                  |
|----------------------|------------------|
| Term Loan A          | \$59,050         |
| Senior Note          | 29,525           |
| PIK Debt             | 29,525           |
| Management Equity    | 24,925           |
| Sponsor Equity       | 99,702           |
| <b>Total Sources</b> | <b>\$242,727</b> |

### Uses

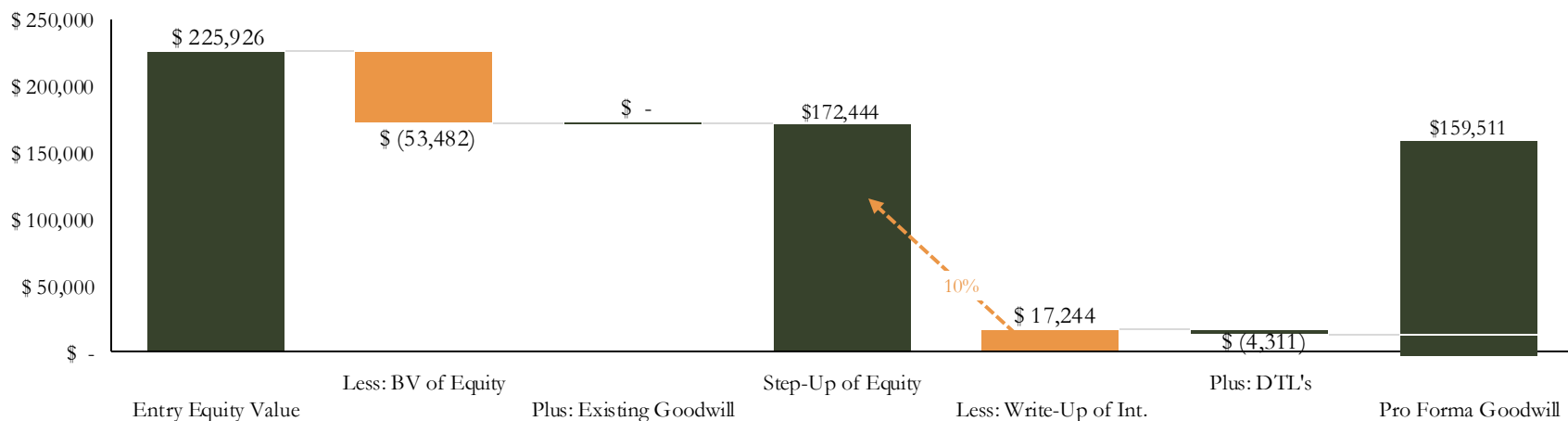
|                     |                  |
|---------------------|------------------|
| Entrey Equity Value | \$225,926        |
| Refinanced Debt     | --               |
| Transaction Expense | 4,439            |
| Financing Fees      | 2,362            |
| Cash to B/S         | 10,000           |
| <b>Total Uses</b>   | <b>\$242,727</b> |

## Capitalization Table

| Capitalization Table<br>Security | Investment<br>Terms & Details      | Post-Close<br>Structure | % of<br>Capital | (x) EBITDA<br>Multiple | Attach<br>Rate | Detach<br>Rate |
|----------------------------------|------------------------------------|-------------------------|-----------------|------------------------|----------------|----------------|
| Cash                             |                                    | \$ 25,670               |                 |                        |                |                |
| Revolving Credit Facility        | S+300bps; 1.00% Floor              | -                       |                 |                        | -              | 1.7            |
| Term Loan A                      | S+300bps; 1.00% Floor              | 59,050                  | 24%             | 2.0x                   | 1.7            | 3.70           |
| Senior Note                      | Fixed Rate 10.0%; Callable Y1 105% | 29,525                  | 12%             | 1.0x                   | 3.7            | 4.70           |
| PIK Debt                         | Fixed Rate 13.5%                   | 29,525                  | 12%             | 1.0x                   | 4.7            | 5.70           |
| <b>Total Debt</b>                |                                    | <b>\$118,100</b>        | <b>49%</b>      | <b>4.0x</b>            | -              | <b>5.70</b>    |
| Management Equity                | Rollover 20.0%                     | 24,925                  | 10%             | 0.8x                   | -              | -              |
| Sponsor Equity                   |                                    | 99,702                  | 41%             | 3.4x                   | -              | -              |
| <b>Total Equity</b>              |                                    | <b>\$ 124,627</b>       | <b>51%</b>      | <b>4.2x</b>            | -              | -              |
| <b>Total Capitalization</b>      |                                    | <b>\$ 242,727</b>       | <b>100%</b>     | <b>8.2x</b>            | -              | -              |
| <b>LTM EBITDA</b>                |                                    | <b>\$ 29,525</b>        |                 |                        |                |                |

# Pro-Forma Adjustments & Balance Sheet

## Goodwill Calculation



## Pro-Forma Balance Sheet

### Assets

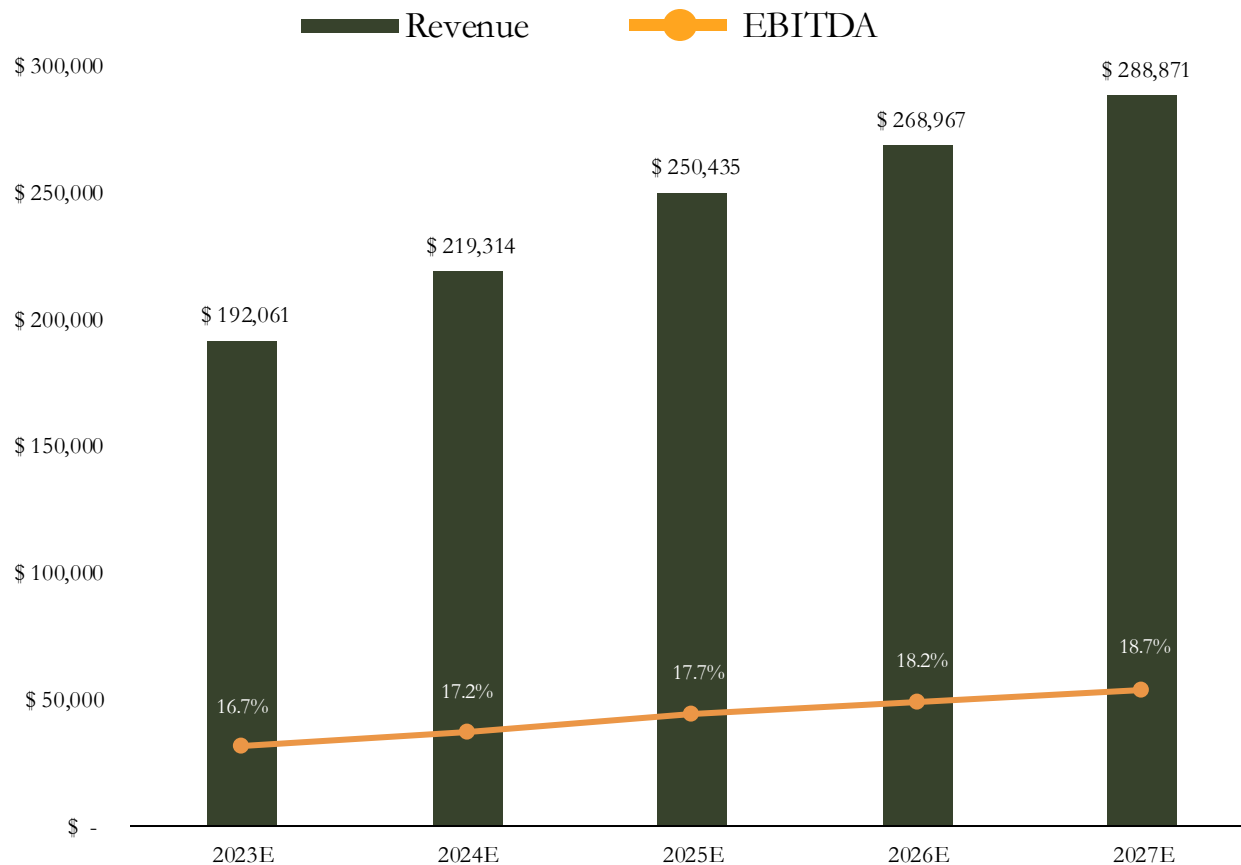
|                              |                   |
|------------------------------|-------------------|
| Cash & Equivalents           | 25,670            |
| Accounts Receivable (net)    | 40,166            |
| Employee accounts receivable | 96                |
| Other receivables            | 1,863             |
| Inventory                    | 1,605             |
| Intercompany/related party   | 5,597             |
| Contract assets              | 1,861             |
| Prepaid expenses             | 375               |
| <b>Total Current Assets</b>  | <b>\$ 77,233</b>  |
| PP&E Net                     | 6,018             |
| Other Assets                 | 178,667           |
| <b>Total Assets</b>          | <b>\$ 261,917</b> |

### Liabilities

|                                                     |                   |
|-----------------------------------------------------|-------------------|
| Accounts payable                                    | 9,238             |
| Accrued and withheld expenses                       | 701               |
| Current portion of long-term debt                   | 46                |
| Notes payable - PPP                                 | 118,100           |
| Contract liabilities                                | 8,666             |
| <b>Total Current Liabilities</b>                    | <b>\$ 136,752</b> |
| Non-current Liabilities                             | 666               |
| Deferred Tax Liability                              | 4,311             |
| <b>Total Liabilities</b>                            | <b>\$ 4,311</b>   |
| Stockholders' Equity                                | 120,188           |
| <b>Total Liabilities &amp; Stockholder's Equity</b> | <b>\$ 261,917</b> |

# Financial Forecast & Margins

## Forecast & Commentary



### Commentary

- Revenue grows at a CAGR of 11.0% representing a 3.8% share of the total service market for mechanical, electrical, and plumbing contractors
- BMI implementation will drive slight margin expansion, against increasing labor costs
- Net income in *FY2023* is projected to be 7.0% and grow and additional 1.0% per year until *FY2027*

Gross Profit Margin : 27.6% Net Income: 7%; increasing 1% annually

# Exit Calculations & Strategy

## Exit Strategy



Market Cap: \$56.03 Billion

Enterprise Value: \$55.3 Billion

Revenue: \$9.1 Billion

EBITDA: \$1.5 Billion

### Acquisition of MEP Holding Co.

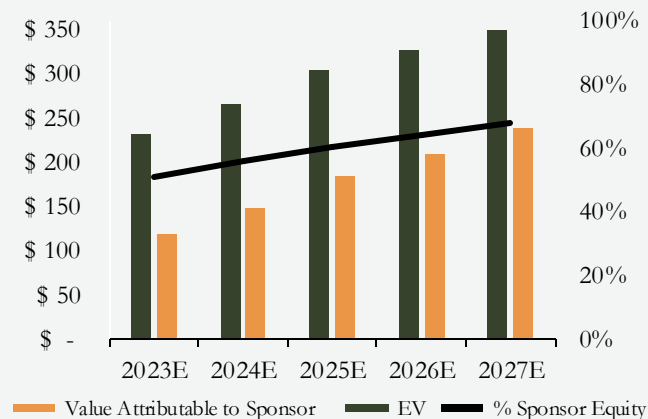
- In January of 2022, Comfort Systems USA acquired MEP Holding Co.
- At time of acquisition, the business was expected to contribute ~\$90M of annual revenue and \$6M-\$8M of EBITDA
- This Expanded Comfort Systems' footprint and technical capabilities

### Acquiring Alpha Inc.

- Unlucky immediate Southeast expansion with strong regional density
- Revenue profile highly attractive due to high % of retrofit, replacement, and service revenue
- Horizontally integrated business model with full MEP service, prefabrication infrastructure, and large employee base

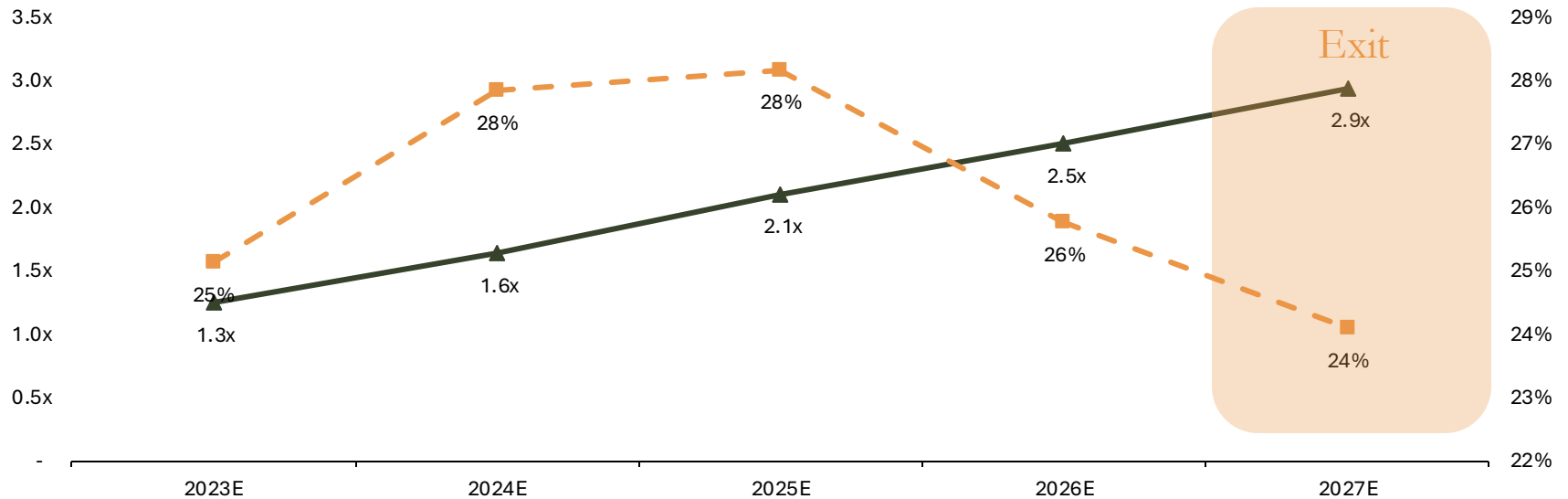
## Exit Calculations

|                             | 2023E        | 2024E        | 2025E        | 2026E        | 2027E        |
|-----------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>LTM EBITDA</b>           | <b>\$32</b>  | <b>\$38</b>  | <b>\$44</b>  | <b>\$49</b>  | <b>\$54</b>  |
| (x) Exit Multiple           | 7.5x         | 7.5x         | 7.5x         | 7.5x         | 7.5x         |
| <b>Enterprise Value</b>     | <b>\$240</b> | <b>\$282</b> | <b>\$332</b> | <b>\$366</b> | <b>\$404</b> |
| Less: Net Debt              | (\$84)       | (\$78)       | (\$69)       | (\$54)       | (\$37)       |
| <b>Equity Value</b>         | <b>\$156</b> | <b>\$204</b> | <b>\$263</b> | <b>\$312</b> | <b>\$367</b> |
| % Sponsor Equity            | 80%          | 80%          | 80%          | 80%          | 80%          |
| <b>Sponsor Equity Value</b> | <b>\$125</b> | <b>\$163</b> | <b>\$210</b> | <b>\$250</b> | <b>\$293</b> |



# Return Over Time & Sensitivity Analysis

## Return Over Time



## Sensitivity Analysis

### IRR

| Entry Multiple | Exit Multiple |       |       |       |       |
|----------------|---------------|-------|-------|-------|-------|
|                | 6.5x          | 7.0x  | 7.5x  | 8.0x  | 8.5x  |
| 6.5x           | 27.4%         | 29.5% | 31.4% | 33.3% | 35.1% |
| 7.0x           | 23.5%         | 25.6% | 27.5% | 29.3% | 31.1% |
| 7.5x           | 20.3%         | 22.3% | 24.2% | 26.0% | 27.6% |
| 8.0x           | 17.5%         | 19.5% | 21.3% | 23.0% | 24.7% |
| 8.5x           | 15.0%         | 17.0% | 18.8% | 20.5% | 22.1% |

### MoM

| Entry Multiple | Exit Multiple |      |      |      |      |
|----------------|---------------|------|------|------|------|
|                | 6.5x          | 7.0x | 7.5x | 8.0x | 8.5x |
| 6.5x           | 3.3x          | 3.6x | 3.9x | 4.2x | 4.5x |
| 7.0x           | 2.9x          | 3.1x | 3.4x | 3.6x | 3.9x |
| 7.5x           | 2.5x          | 2.7x | 2.9x | 3.2x | 3.4x |
| 8.0x           | 2.2x          | 2.4x | 2.6x | 2.8x | 3.0x |
| 8.5x           | 2.0x          | 2.2x | 2.4x | 2.5x | 2.7x |

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## VI. Key Risks & Mitigates

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# Related-Party Structure & Financial Transparency

*Four arrangements identified in the CIM remained unresolved, each of which could affect the accuracy of reported profits or create obligations that surface after close*

## Risk



### Equipment & Vehicle Leases



The company rents trucks and equipment from family-owned LLCs at prices the family controls – if those prices are off-market, reported operating cost are distorted



### Real Estate Occupancy Costs



The family owns the building the company operates out of across most of its locations – occupancy cost in the financials may not reflect what an independent landlord would actually charge



### Retained Construction Office



The seller are retaining 6,450 square foot construction office directly adjacent to the Electrical divisions main office in Jackson, MS – the CIM provides no explanation of what it will be used for post close



### Unquantified ERC Credits



The sellers are retaining ERC credits the CIM describes as ‘substantial’ but never quantifies – unquantified tax exposure that could surface after close

## Mitigant

### Independently Assess Lease Rates Pre-Close

Commission an independent assessment of all truck and equipment rental rates before close – use the findings to adjust deal pricing or renegotiate lease terms accordingly



### Verify and Protect Occupancy Costs

Commission an independent real estate assessment before close – if rates are above market, renegotiate; if below, lock in long-term lease agreements to protect the buyer from future rent increases



### Restrict Post-Close Use

Require seller to define the intended use of the retained office before close – include non-compete and non-solicitation provisions in the purchase agreement to prevent overlap with the acquired business



### Require Disclosure and Indemnification

Require sellers to disclose the exact ERC amount before close and sign an indemnification agreement – contractually obligating them to cover any future IRS repayment demands



**In addition to the above, a Quality of Earnings report will be commissioned pre-close to independently verify all related-party economics across the business**

# People & Market Risk

*Four risks identified across leadership dependency, workforce availability, and market cyclicalities*

## Risk



### Client Relationship Dependency



Client relationships are anchored to the Upchurch family – Roy Collins Construction noted: “if the Upchurches tell you something, you know it will be done correctly.” No institutional mechanism exists to retain these accounts if any Upchurch exits post-close



### Operational Knowledge Risk



166 combined years of operational knowledge resides with the Upchurch family – while division managers exist, none are formally identified as successors. An unplanned departure by any principal would leave critical operational roles without a defined continuity plan



### Skilled Labor Shortage



The MEP contracting industry faces a structural skilled trades shortage driven by an aging workforce and declining entry of young workers – creating a persistent hiring challenge for field labor across all four divisions



### Interest Rate Sensitivity / Cyclicalities



A portion of MEP revenue is tied to new construction starts, which are sensitive to interest rates – with the Fed funds rate at a 22-year high in 2023, project divisions face meaningful cyclical headwinds on its construction-exposed revenue

## Mitigant

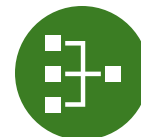
### Transition Client Relationships

Use the hold period to systematically transition client relationships from the Upchurch family to division-level managers, reducing single-name dependency before exit.



### Retain & Develop Successors

Negotiate employment agreements with all four Upchurch principals as a closing condition, buying time to develop division-level managers into operational successors



### In-house Apprenticeship Pipeline

The company operates a formal apprenticeship program through MCEF, actively recruiting from Mississippi State University and local community colleges to build a pipeline of trained field labor



### Recurring Revenue Buffer

78% of revenue is derived from recurring repair and maintenance work, providing structural insulation against construction cyclicalities – new construction represents a minority of the overall revenue base



**Each risk is mitigated through a combination of existing business model characteristics and structural closing conditions negotiated as part of the transaction**

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## VII. Recommendation

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## ✓ Acquire Alpha

Acquire a high quality, recession-resilient MEP platform with a growing share of recurring revenue and 50-year track record

You're acquiring a platform with real bolt on opportunities in a highly fragmented industry generating a 24% IRR with a risk averse approach

## ✓ Perform Diligence

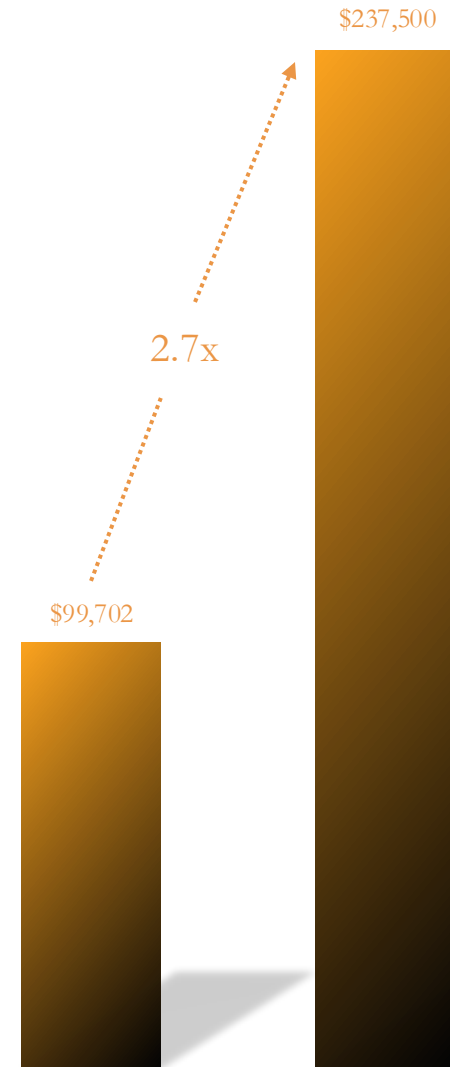
Hire a third-party accounting firms to perform a Quality of Earnings report to test EBITDA sustainability and

Negotiate and finalize all long-term agreements with Upchurch family members and validate recurring revenue stickiness

## ✓ Launch Value Creation

Deploy in-house Building Information modeling and prefabrication capabilities at scale to reduce on-site labor hours and reduce waste

Extend existing footprint into new states where the firm is already licensee and aim to capture new data center projects



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## Appendix

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## Full capability matrix - Alpha vs. regional competitors

*Alpha checks all 16 capability boxes. Nearest regional competitors check 4–8. Source: Company websites. Competitor identities anonymized per CIM.*

| Capability                   | Alpha          | Comp A         | Comp B        | Comp C        | Comp D        | Comp E        | Comp F        | Comp G        | Comp H        |
|------------------------------|----------------|----------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| BIM Capabilities             | ✓              | ✓              | —             | —             | —             | —             | —             | ✓             | ✓             |
| Prefab Capabilities          | ✓              | ✓              | —             | —             | —             | —             | —             | ✓             | ✓             |
| Commercial Plumbing          | ✓              | ✓              | ✓             | —             | —             | —             | ✓             | —             | —             |
| Commercial HVAC              | ✓              | ✓              | ✓             | —             | —             | —             | ✓             | —             | —             |
| Industrial Plumbing          | ✓              | ✓              | ✓             | —             | —             | —             | —             | ✓             | ✓             |
| Industrial HVAC              | ✓              | ✓              | ✓             | —             | —             | ✓             | —             | —             | —             |
| In-house Sheet Metal         | ✓              | ✓              | ✓             | —             | —             | —             | —             | —             | —             |
| Commercial Electrical        | ✓              | —              | —             | ✓             | ✓             | —             | —             | —             | —             |
| Industrial Electrical        | ✓              | —              | —             | ✓             | ✓             | —             | —             | —             | —             |
| HVAC Commercial Service      | ✓              | ✓              | ✓             | —             | —             | ✓             | ✓             | —             | —             |
| Plumbing Commercial Service  | ✓              | —              | ✓             | —             | —             | —             | ✓             | —             | —             |
| Industrial Piping            | ✓              | ✓              | —             | —             | —             | —             | —             | ✓             | ✓             |
| Millwright                   | ✓              | —              | —             | —             | —             | —             | —             | ✓             | ✓             |
| Controls                     | ✓              | ✓              | ✓             | ✓             | ✓             | ✓             | ✓             | —             | —             |
| Vacuum Services              | ✓              | —              | —             | —             | —             | —             | ✓             | —             | —             |
| Residential Plumbing Service | ✓              | —              | —             | —             | —             | —             | —             | —             | —             |
| <b>Total capabilities</b>    | <b>16 / 16</b> | <b>10 / 16</b> | <b>8 / 16</b> | <b>3 / 16</b> | <b>3 / 16</b> | <b>3 / 16</b> | <b>6 / 16</b> | <b>5 / 16</b> | <b>5 / 16</b> |

# Three Statement Model- Driver Assumptions

## Driver Assumptions

|                                      | 2019A  | 2020A  | 2021A  | 2022A  | 2023E  | 2024E  | 2025E  | 2026E  | 2027E  |
|--------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <b><u>Income Statement</u></b>       |        |        |        |        |        |        |        |        |        |
| Total Addressable Market (m)         | 18,576 | 21,648 | 25,228 | 29,400 | 33,572 | 38,336 | 43,776 | 47,015 | 50,494 |
| % Growth                             | 14.2%  | 14.2%  | 14.2%  | 14.2%  | 14.2%  | 14.2%  | 14.2%  | 7.4%   | 7.4%   |
| Revenue (k)                          | 118    | 102    | 125    | 168    | 192    | 219    | 250    | 269    | 289    |
| Market Share                         | 0.64%  | 0.47%  | 0.50%  | 0.57%  | 0.57%  | 0.57%  | 0.57%  | 0.57%  | 0.57%  |
| COGS & Revenue                       | 75.7%  | 77.0%  | 74.9%  | 72.4%  | 72.4%  | 72.4%  | 72.4%  | 72.4%  | 72.4%  |
| SG&A % Revenue                       | 11.3%  | 13.7%  | 14.4%  | 11.5%  | 11.0%  | 10.5%  | 10.0%  | 9.5%   | 9.0%   |
| Capex % Revenue                      | --     | 0.9%   | 1.4%   | 1.4%   | 1.4%   | 1.4%   | 1.4%   | 1.4%   | 1.4%   |
| D&A % Beginning PP&E                 | --     | 25.7%  | 26.3%  | 20.8%  | 20.8%  | 20.8%  | 20.8%  | 20.8%  | 20.8%  |
| Interest Rate                        | --     | 2.1%   | --     | --     |        |        |        |        |        |
| <b><u>Balance Sheet</u></b>          |        |        |        |        |        |        |        |        |        |
| Days Sales Outstanding               | 81.1   | 77.9   | 75.7   | 87.2   | 87.2   | 87.2   | 87.2   | 87.2   | 87.2   |
| Days Inventory Outstanding           | 2.6    | 2.     | 4.1    | 4.8    | 4.8    | 3.9    | 4.4    | 4.5    | 4.4    |
| Days Payable Outstanding             | 30.6   | 25.6   | 21.8   | 27.7   | 27.7   | 25.7   | 25.7   | 26.7   | 26.5   |
| Other receivables % Revenue          | 0.6%   | 0.7%   | 1.5%   | 1.1%   | 1.1%   | 1.1%   | 1.1%   | 1.1%   | 1.1%   |
| Contract assets % Revenue            | 2.0%   | 1.6%   | 0.5%   | 1.1%   | 1.1%   | 1.1%   | 1.1%   | 1.1%   | 1.1%   |
| Prepaid expenses % SG&A              | 4.2%   | 3.1%   | 1.7%   | 1.9%   | 1.9%   | 1.9%   | 1.9%   | 1.9%   | 1.9%   |
| Accrued and withheld expenses % SG&A | 4.5%   | 5.2%   | 4.3%   | 3.6%   | 3.6%   | 3.6%   | 3.6%   | 3.6%   | 3.6%   |
| Contract liabilities % Revenue       | 3.3%   | 3.1%   | 3.2%   | 5.2%   | 5.2%   | 5.2%   | 5.2%   | 5.2%   | 5.2%   |

# Three Statement Model- Income Statement

## Income Statement

|                                            | 2019A            | 2020A            | 2021A            | 2022A            | 2023E            | 2024E            | 2025E            | 2026E            | 2027E            |
|--------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Revenue</b>                             | <b>\$118,285</b> | <b>\$101,821</b> | <b>\$125,403</b> | <b>\$168,194</b> | <b>\$192,061</b> | <b>\$219,314</b> | <b>\$250,435</b> | <b>\$268,967</b> | <b>\$288,871</b> |
| <i>% Growth</i>                            |                  | (13.9%)          | 23.2%            | 34.1%            | 14.2%            | 14.2%            | 14.2%            | 7.4%             | 7.4%             |
| Less: COGS (excl.D&A)                      | (89,528)         | (78,440)         | (93,980)         | (121,710)        | (138,981)        | (158,703)        | (181,222)        | (194,633)        | (209,036)        |
| <b>Gross Profit</b>                        | <b>\$28,757</b>  | <b>\$23,381</b>  | <b>\$31,424</b>  | <b>\$46,484</b>  | <b>\$53,080</b>  | <b>\$60,612</b>  | <b>\$69,212</b>  | <b>\$74,334</b>  | <b>\$79,835</b>  |
| <i>% Margin</i>                            | 24.3%            | 23.0%            | 25.1%            | 27.6%            | 27.6%            | 27.6%            | 27.6%            | 27.6%            | 27.6%            |
| Less: SG&A                                 | (13,323)         | (13,917)         | (18,002)         | (19,308)         | (21,087)         | (22,983)         | (24,992)         | (25,497)         | (25,939)         |
| Less: D&A                                  | (973)            | (1,043)          | (1,043)          | (982)            | (1,253)          | (1,535)          | (1,836)          | (2,162)          | (2,472)          |
| Less: Ammortization of Intangibles Writeup | --               | --               | --               | --               | (1,150)          | (1,150)          | (1,150)          | (1,150)          | (1,150)          |
| <b>EBIT</b>                                | <b>\$14,461</b>  | <b>\$8,421</b>   | <b>\$12,378</b>  | <b>\$26,194</b>  | <b>\$29,590</b>  | <b>\$34,944</b>  | <b>\$41,235</b>  | <b>\$45,526</b>  | <b>\$50,274</b>  |
| Less: Tax Expense                          | --               | --               | --               | --               | (\$4,314)        | (\$5,814)        | (\$7,453)        | (\$8,542)        | (\$9,802)        |
| <b>EBT</b>                                 | <b>\$14,461</b>  | <b>\$8,421</b>   | <b>\$12,378</b>  | <b>\$26,194</b>  | <b>\$25,276</b>  | <b>\$29,130</b>  | <b>\$33,782</b>  | <b>\$36,984</b>  | <b>\$40,472</b>  |
| Less: Interest Income / (Expense)          | (72)             | (37)             | (34)             | 101              | (11,863)         | (11,216)         | (10,949)         | (10,884)         | (10,593)         |
| Less: Other Income / (Expense)             | 201              | 1,603            | 8,020            | 2,350            | (\$472)          | (\$472)          | (\$472)          | (\$472)          | (\$472)          |
| Less: Gain / (Loss) on Sale of Assets      | 48               | 39               | 38               | (1)              | --               | --               | --               | --               | --               |
| <b>Net Income</b>                          | <b>\$14,638</b>  | <b>\$10,025</b>  | <b>\$20,403</b>  | <b>\$28,644</b>  | <b>\$12,941</b>  | <b>\$17,441</b>  | <b>\$22,360</b>  | <b>\$25,627</b>  | <b>\$29,406</b>  |
| Plus: Other                                | --               | --               | --               | --               | 4,786            | 6,286            | 7,926            | 9,015            | 10,275           |
| Plus: Interest (Income) / Expense          | 72               | 37               | 34               | (101)            | 11,863           | 11,216           | 10,949           | 10,884           | 10,593           |
| Plus: D&A                                  | 1,131            | 1,043            | 1,043            | 982              | 2,403            | 2,685            | 2,985            | 3,311            | 3,622            |
| <b>EBITDA</b>                              | <b>\$15,841</b>  | <b>\$11,105</b>  | <b>\$21,479</b>  | <b>\$29,525</b>  | <b>\$31,992</b>  | <b>\$37,629</b>  | <b>\$44,220</b>  | <b>\$48,838</b>  | <b>\$53,896</b>  |
| <i>% Margin</i>                            | 13.4%            | 10.9%            | 17.1%            | 17.6%            | 16.7%            | 17.2%            | 17.7%            | 18.2%            | 18.7%            |

# Three Statement Model- Balance Sheet

## Balance Sheet

|                                                     | 2019A           | 2020A           | 2021A           | 2022A            | 2023E            | 2024E            | 2025E            | 2026E            | 2027E            |
|-----------------------------------------------------|-----------------|-----------------|-----------------|------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Assets</b>                                       |                 |                 |                 |                  |                  |                  |                  |                  |                  |
| Cash & Equivalents                                  | \$1,921         | \$13,037        | \$14,969        | \$25,670         | \$35,062         | \$44,412         | \$55,463         | \$68,730         | \$89,346         |
| Accounts Receivable (net)                           | \$26,294        | \$21,731        | \$26,004        | \$40,166         | \$45,866         | \$52,374         | \$59,806         | \$64,232         | \$68,985         |
| Employee accounts receivable                        | \$109           | \$120           | \$151           | \$96             | --               | --               | --               | --               | --               |
| Other receivables                                   | \$760           | \$747           | \$1,864         | \$1,863          | \$2,127          | \$2,429          | \$2,774          | \$2,979          | \$3,200          |
| Inventory                                           | \$637           | \$440           | \$1,045         | \$1,605          | \$1,833          | \$1,710          | \$2,187          | \$2,395          | \$2,526          |
| Intercompany/related party                          | (\$1,059)       | (\$890)         | \$3,243         | \$5,597          | --               | --               | --               | --               | --               |
| Contract assets                                     | \$2,315         | \$1,652         | \$590           | \$1,861          | \$2,125          | \$2,427          | \$2,771          | \$2,976          | \$3,197          |
| Prepaid expenses                                    | \$566           | \$431           | \$307           | \$375            | \$409            | \$446            | \$485            | \$495            | \$503            |
| Total Current Assets                                | \$31,543        | \$37,268        | \$48,174        | \$77,233         | \$87,423         | \$103,799        | \$123,486        | \$141,808        | \$167,757        |
| PP&E Net                                            | \$4,059         | \$3,966         | \$4,715         | \$6,018          | \$7,373          | \$8,817          | \$10,382         | \$11,873         | \$13,324         |
| Other Assets                                        | \$2,251         | \$2,138         | \$2,024         | \$178,667        | \$177,045        | \$175,423        | \$173,801        | \$172,178        | \$170,556        |
| <b>Total Assets</b>                                 | <b>\$37,853</b> | <b>\$43,372</b> | <b>\$54,913</b> | <b>\$261,917</b> | <b>\$271,841</b> | <b>\$288,038</b> | <b>\$307,669</b> | <b>\$325,859</b> | <b>\$351,637</b> |
| <b>Liabilities</b>                                  |                 |                 |                 |                  |                  |                  |                  |                  |                  |
| Accounts payable                                    | \$7,497         | \$5,505         | \$5,610         | \$9,238          | \$10,549         | \$11,176         | \$12,773         | \$14,243         | \$15,154         |
| Accrued and withheld expenses                       | \$595           | \$726           | \$779           | \$701            | \$766            | \$835            | \$908            | \$926            | \$942            |
| Current portion of long-term debt                   | \$225           | \$201           | \$43            | \$46             | \$46             | \$46             | \$46             | \$46             | \$46             |
| Notes payable - PPP                                 | --              | \$4,416         | \$1,968         | \$118,100        | \$112,765        | \$109,709        | \$103,994        | \$94,401         | \$89,107         |
| Contract liabilities                                | \$3,930         | \$3,156         | \$3,961         | \$8,666          | \$9,896          | \$11,300         | \$12,903         | \$13,858         | \$14,884         |
| Total Current Liabilities                           | \$12,247        | \$14,003        | \$12,361        | \$136,752        | \$134,022        | \$133,065        | \$130,624        | \$123,474        | \$120,133        |
| Non-current Liabilities                             | 4,495           | 4,374           | 3,114           | 666              | 666              | 666              | 666              | 666              | 666              |
| Deferred Tax Liability                              | --              | --              | --              | 4,311            | 4,024            | 3,736            | 3,449            | 3,161            | 2,874            |
| <b>Total Liabilities</b>                            | <b>\$16,742</b> | <b>\$18,377</b> | <b>\$15,475</b> | <b>\$141,729</b> | <b>\$138,712</b> | <b>\$137,468</b> | <b>\$134,738</b> | <b>\$127,301</b> | <b>\$123,673</b> |
| Stockholders' Equity                                | 21,111          | 24,995          | 39,438          | 120,188          | 133,129          | 150,571          | 172,931          | 198,558          | 227,965          |
| <b>Total Liabilities &amp; Stockholder's Equity</b> | <b>\$37,853</b> | <b>\$43,372</b> | <b>\$54,913</b> | <b>\$261,917</b> | <b>\$271,841</b> | <b>\$288,038</b> | <b>\$307,669</b> | <b>\$325,859</b> | <b>\$351,637</b> |
| Balance Check                                       |                 |                 |                 |                  | --               | --               | --               | --               | --               |

# Three Statement Model- Cash Flow Statement

## Cash Flow Statement

|                                         | 2019A    | 2020A            | 2021A             | 2022A             | 2023E            | 2024E            | 2025E             | 2026E             | 2027E             |
|-----------------------------------------|----------|------------------|-------------------|-------------------|------------------|------------------|-------------------|-------------------|-------------------|
| <b><u>Operating Activities</u></b>      |          |                  |                   |                   |                  |                  |                   |                   |                   |
| Net Income                              | \$14,638 | \$10,025         | \$20,403          | \$28,644          | \$12,941         | \$17,441         | \$22,360          | \$25,627          | \$29,406          |
| Plus: D&A                               | \$973    | \$1,043          | \$1,043           | \$982             | 1,253            | 1,535            | 1,836             | 2,162             | 2,472             |
| Plus: Other Non-cash Expenses           | --       | --               | --                | --                | 5,320            | 5,859            | 6,469             | 7,163             | 7,949             |
| Less: (Gain) / Loss on Sale of Assets   | (\$48)   | (\$39)           | (\$38)            | \$1               | --               | --               | --                | --                | --                |
| Less: (Increase) / Decrease in NWC      | --       | \$2,755          | (\$8,011)         | (\$10,102)        | \$1,807          | (\$4,927)        | (\$5,363)         | (\$2,611)         | (\$3,381)         |
| <b>Cash Flow from Operatoins</b>        |          | <b>\$13,784</b>  | <b>\$13,397</b>   | <b>\$19,525</b>   | <b>\$21,322</b>  | <b>\$19,909</b>  | <b>\$25,302</b>   | <b>\$32,341</b>   | <b>\$36,448</b>   |
| <b><u>Investing Activities</u></b>      |          |                  |                   |                   |                  |                  |                   |                   |                   |
| Less: Capex                             |          | (\$951)          | (\$1,792)         | (\$2,284)         | (2,609)          | (2,979)          | (3,401)           | (3,653)           | (3,923)           |
| Plus: Other Source / (Use) of Investing |          | (\$1,604)        | \$1,795           | (\$6,179)         | --               | --               | --                | --                | --                |
| <b>Cash Flow from Investing</b>         |          | <b>(\$2,555)</b> | <b>\$3</b>        | <b>(\$8,464)</b>  | <b>(\$2,609)</b> | <b>(\$2,979)</b> | <b>(\$3,401)</b>  | <b>(\$3,653)</b>  | <b>(\$3,923)</b>  |
| <b><u>Financing Activities</u></b>      |          |                  |                   |                   |                  |                  |                   |                   |                   |
| Plus: Issuance / (Repayment) of Debt    |          | \$4,392          | (\$2,606)         | (\$1,965)         | (9,321)          | (7,580)          | (10,850)          | (15,421)          | (11,909)          |
| Less: Dividends                         |          | (\$4,506)        | (\$8,862)         | (\$8,395)         | --               | --               | --                | --                | --                |
| <b>Cash Flow from Financing</b>         |          | <b>(\$114)</b>   | <b>(\$11,468)</b> | <b>(\$10,360)</b> | <b>(\$9,321)</b> | <b>(\$7,580)</b> | <b>(\$10,850)</b> | <b>(\$15,421)</b> | <b>(\$11,909)</b> |
| <b>Net Change In Cash</b>               |          | <b>\$11,116</b>  | <b>\$1,932</b>    | <b>\$702</b>      | <b>\$9,392</b>   | <b>\$9,350</b>   | <b>\$11,051</b>   | <b>\$13,267</b>   | <b>\$20,615</b>   |
| <b><u>PP&amp;E</u></b>                  |          |                  |                   |                   |                  |                  |                   |                   |                   |
| Beginning PP&E                          |          | 4,059            | 3,966             | 4,715             | 6,018            | 7,373            | 8,817             | 10,382            | 11,873            |
| Plus: Capex                             |          | 951              | 1,792             | 2,284             | 2,609            | 2,979            | 3,401             | 3,653             | 3,923             |
| Less: D&A                               |          | (1,043)          | (1,043)           | (982)             | (1,253)          | (1,535)          | (1,836)           | (2,162)           | (2,472)           |
| <b>Ending PP&amp;E</b>                  |          | <b>\$3,966</b>   | <b>\$4,715</b>    | <b>\$6,018</b>    | <b>\$7,373</b>   | <b>\$8,817</b>   | <b>\$10,382</b>   | <b>\$11,873</b>   | <b>\$13,324</b>   |

# Total Addressable Market Build- Sections 1 & 2

## Section 1: Market Size Anchors

|                                             | 2022A (\$mm)     |
|---------------------------------------------|------------------|
| TAM — US MEP Services                       | \$29,400         |
| SE Share of US Non-Residential Construction | 15.0%            |
| <b>SAM — Southeast US MEP Services</b>      | <b>\$4,410</b>   |
| <br><b>SOM — Alpha 2022A Revenue</b>        | <br><b>\$168</b> |
| Alpha's 2022A Share of SAM                  | 3.8%             |

## Section 2: Scenario Inputs (every value links to existing model cell)

|                                    | Bear  | Base  | Bull  |
|------------------------------------|-------|-------|-------|
| Alpha Revenue CAGR (2022A → 2027E) | 2.5%  | 11.3% | 12.5% |
| 2027E EBITDA Margin                | 12.5% | 18.7% | 18.7% |

## Section 3: Alpha Revenue & EBITDA by Case (2022A → 2027E)

|                                      | 2022A        | 2023E        | 2024E        | 2025E        | 2026E        | 2027E        |
|--------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>BEAR — Revenue</b>                | \$168        | \$172        | \$177        | \$181        | \$186        | \$190        |
| EBITDA (at bear margin)              | \$21         | \$21         | \$22         | \$23         | \$23         | \$24         |
| <br><b>BASE — Revenue (LBO link)</b> | <b>\$168</b> | <b>\$192</b> | <b>\$219</b> | <b>\$250</b> | <b>\$269</b> | <b>\$288</b> |
| EBITDA (LBO link)                    | \$30         | \$32         | \$38         | \$44         | \$49         | \$54         |
| <br><b>BULL — Revenue</b>            | \$168        | \$189        | \$213        | \$239        | \$269        | \$302        |
| EBITDA (at bull margin)              | \$31         | \$35         | \$40         | \$45         | \$50         | \$56         |

# Total Addressable Market Build- Sections 3 & 4

## Section 3: Alpha Revenue & EBITDA by Case (2022A → 2027E)

|                                  | 2022A | 2023E | 2024E | 2025E | 2026E | 2027E |
|----------------------------------|-------|-------|-------|-------|-------|-------|
| <b>BEAR — Revenue</b>            | \$168 | \$172 | \$177 | \$181 | \$186 | \$190 |
| EBITDA (at bear margin)          | \$21  | \$21  | \$22  | \$23  | \$23  | \$24  |
| <b>BASE — Revenue (LBO link)</b> | \$168 | \$192 | \$219 | \$250 | \$269 | \$289 |
| EBITDA (LBO link)                | \$30  | \$32  | \$38  | \$44  | \$49  | \$54  |
| <b>BULL — Revenue</b>            | \$168 | \$189 | \$213 | \$239 | \$269 | \$302 |
| EBITDA (at bull margin)          | \$31  | \$35  | \$40  | \$45  | \$50  | \$56  |

## Section 4: 2027E Summary Output

|                                | Bear        | Base        | Bull        |
|--------------------------------|-------------|-------------|-------------|
| 2027E Revenue (\$mm)           | \$190       | \$289       | \$302       |
| 2027E EBITDA (\$mm)            | \$24        | \$54        | \$56        |
| 5-Yr Revenue CAGR              | 2.5%        | 11.4%       | 12.5%       |
| EBITDA Margin                  | 12.5%       | 18.7%       | 18.7%       |
| <b>Implied 2027E SAM Share</b> | <b>2.5%</b> | <b>3.8%</b> | <b>4.0%</b> |

# Discounted Cash Flow Analysis- Financial Forecast & WACC Buildup

## Financial Forecast

|                                           | 2022A              | 2023E              | 2024E              | 2025E              | 2026E              | 2027E              |
|-------------------------------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
| <b>Revenue</b>                            | <b>\$168,194</b>   | <b>\$192,061</b>   | <b>\$219,314</b>   | <b>\$250,435</b>   | <b>\$268,967</b>   | <b>\$288,871</b>   |
| % Growth                                  |                    | 14.2%              | 14.2%              | 14.2%              | 7.4%               | 7.4%               |
| <b>Less: COGS</b>                         | <b>(\$121,710)</b> | <b>(\$138,981)</b> | <b>(\$158,703)</b> | <b>(\$181,222)</b> | <b>(\$194,633)</b> | <b>(\$209,036)</b> |
| <b>Gross Profit</b>                       | <b>\$46,484</b>    | <b>\$53,080</b>    | <b>\$60,612</b>    | <b>\$69,212</b>    | <b>\$74,334</b>    | <b>\$79,835</b>    |
| % Margin                                  | 27.6%              | 27.6%              | 27.6%              | 27.6%              | 27.6%              | 27.6%              |
| <b>Less: SG&amp;A</b>                     | <b>(19,308)</b>    | <b>(13,917)</b>    | <b>(18,002)</b>    | <b>(19,308)</b>    | <b>(21,087)</b>    | <b>(22,983)</b>    |
| <b>EBITDA</b>                             | <b>\$27,176</b>    | <b>\$39,163</b>    | <b>\$42,610</b>    | <b>\$49,905</b>    | <b>\$53,247</b>    | <b>\$56,852</b>    |
| % Margin                                  | 16.2%              | 20.4%              | 19.4%              | 19.9%              | 19.8%              | 19.7%              |
| <b>Less: D&amp;A</b>                      | <b>(982)</b>       | <b>(1,253)</b>     | <b>(1,535)</b>     | <b>(1,836)</b>     | <b>(2,162)</b>     | <b>(2,472)</b>     |
| <b>EBIT</b>                               | <b>\$26,194</b>    | <b>\$37,910</b>    | <b>\$41,074</b>    | <b>\$48,069</b>    | <b>\$51,085</b>    | <b>\$54,380</b>    |
| <b>Less: Tax Expense</b>                  | <b>\$0</b>         | <b>\$0</b>         | <b>\$0</b>         | <b>\$0</b>         | <b>\$0</b>         | <b>\$0</b>         |
| <b>NOPAT</b>                              | <b>\$26,194</b>    | <b>\$37,910</b>    | <b>\$41,074</b>    | <b>\$48,069</b>    | <b>\$51,085</b>    | <b>\$54,380</b>    |
| <b>Plus: D&amp;A</b>                      | <b>982</b>         | <b>1,253</b>       | <b>1,535</b>       | <b>1,836</b>       | <b>2,162</b>       | <b>2,472</b>       |
| <b>Less: Capex</b>                        | <b>(2,284)</b>     | <b>(2,609)</b>     | <b>(2,979)</b>     | <b>(3,401)</b>     | <b>(3,653)</b>     | <b>(3,923)</b>     |
| <b>Less: (Increase) / Decrease in NWC</b> | <b>1,807</b>       | <b>(4,927)</b>     | <b>(5,363)</b>     | <b>(2,611)</b>     | <b>(3,381)</b>     | <b>-</b>           |
| <b>Unlevered Free Cash Flow</b>           | <b>\$26,699</b>    | <b>\$31,628</b>    | <b>\$34,267</b>    | <b>\$43,893</b>    | <b>\$46,213</b>    | <b>\$52,928</b>    |
| Mid-year Conversion                       |                    | 0.5                | 1.5                | 2.5                | 3.5                | 4.5                |
| Discount Factor                           |                    | 0.95               | 0.86               | 0.77               | 0.70               | 0.63               |
| <b>Pv of UFCF</b>                         |                    | <b>\$30,040</b>    | <b>\$29,361</b>    | <b>\$33,927</b>    | <b>\$32,225</b>    | <b>\$33,294</b>    |

## WACC Buildup

| <u>Cost of Debt</u>   |               | <u>Company</u>                    | <u>L Beta</u> | <u>Debt</u>  | <u>Equity</u>   | <u>U Beta</u> |
|-----------------------|---------------|-----------------------------------|---------------|--------------|-----------------|---------------|
| Risk-Free Rate        | 4.278%        | Limbach Holdings, Inc.            | 1.36          | \$ 36        | \$ 1,015        | 1.31          |
| Credit Spread         | +450 bps      | Installed Building Products, Inc. | 1.22          | 988          | 7,663           | 1.08          |
|                       |               | Primoris Services Corporatoin     | 1.44          | 470          | 8,585           | 1.37          |
| Pre-Tax Cost of Debt  | 8.78%         | MYR Group Inc                     | 1.42          | 59           | 4,724           | 1.40          |
| <b>Cost of Debt</b>   | <b>6.58%</b>  | IES Holdings, Inc.                | 1.49          | --           | 10,529          | 1.49          |
|                       |               | <b>Median</b>                     | <b>1.42</b>   | <b>59.00</b> | <b>7,663.10</b> | <b>1.37</b>   |
| <u>Cost of Equity</u> |               | <u>Alpha Inc</u>                  | <u>U Beta</u> | <u>Debt</u>  | <u>Equity</u>   | <u>L Beta</u> |
| Risk-Free Rate        | 4.278%        |                                   | 1.37          | \$ 11,740    | \$ 53,482       | 1.66          |
| Beta                  | 1.66          |                                   |               |              |                 |               |
| Equity Risk Premium   | 4.51%         |                                   |               |              |                 |               |
| <b>Cost of Equity</b> | <b>11.79%</b> |                                   |               |              |                 |               |
| <b>WACC</b>           |               |                                   |               |              |                 |               |
| % Debt                | 18%           |                                   |               |              |                 |               |
| Cost of Debt          | 6.58%         |                                   |               |              |                 |               |
| % Equity              | 82%           |                                   |               |              |                 |               |
| Cost of Equity        | 11.79%        |                                   |               |              |                 |               |
| <b>WACC</b>           | <b>10.85%</b> |                                   |               |              |                 |               |

# Discounted Cash Flow Analysis- Terminal Value, EV to EQ, & Sensitivity Analysis

## Terminal Value

### Perpetuity in Growth

|             |        |
|-------------|--------|
| Growth Rate | 2.5%   |
| WACC        | 10.85% |

Terminal Value \$649,692

Pv of TV \$350,174

Pv of UFCF \$158,848

**Enterprise Value \$509,022**

**Implied Enterprise Value \$509,022**

|                               |         |
|-------------------------------|---------|
| Less: Notes Payable           | --      |
| Less: Curr Portion LT Debt    | (46)    |
| Less: Non-current Liabilities | (3,028) |
| Less: Contract Liabilities    | (8,666) |
| Plus: Cash & Equivalents      | 15,670  |

**Implied Equity Value \$512,953**

### Exit Multiple

Adj Median Peer Multiple 11.9x  
EBITDA \$56,852

Terminal Value \$677,216

Pv of TV \$365,009

Pv of UFCF \$158,848

**Enterprise Value \$523,857**

**Implied Enterprise Value \$523,857**

|                               |         |
|-------------------------------|---------|
| Less: Notes Payable           | --      |
| Less: Curr Portion LT Debt    | (46)    |
| Less: Non-current Liabilities | (3,028) |
| Less: Contract Liabilities    | (8,666) |
| Plus: Cash & Equivalents      | 15,670  |

**Implied Equity Value \$527,788**

## Sensitivity Tables

### Growth Rate

|       | Growth Rate |         |         |         |         |
|-------|-------------|---------|---------|---------|---------|
| WACC  | 2.0%        | 2.3%    | 2.5%    | 2.8%    | 3.0%    |
| 10.5% | 516,174     | 527,792 | 540,140 | 553,291 | 567,324 |
| 10.7% | 503,583     | 514,563 | 526,216 | 538,606 | 551,806 |
| 10.9% | 491,580     | 501,967 | 512,977 | 524,666 | 537,100 |
| 11.1% | 480,124     | 489,962 | 500,375 | 511,416 | 523,142 |
| 11.3% | 469,180     | 478,507 | 488,367 | 498,808 | 509,880 |

### (x) Exit Multiple

|       | (x) Exit Multiple |         |         |         |         |
|-------|-------------------|---------|---------|---------|---------|
| WACC  | 10.9x             | 11.4x   | 11.9x   | 12.4x   | 12.9x   |
| 9.6%  | 525,004           | 541,405 | 557,805 | 574,205 | 590,606 |
| 9.8%  | 520,347           | 536,569 | 552,791 | 569,013 | 585,235 |
| 10.0% | 515,746           | 531,791 | 547,837 | 563,883 | 579,929 |
| 10.2% | 511,199           | 527,070 | 542,942 | 558,814 | 574,686 |
| 10.4% | 506,705           | 522,405 | 538,105 | 553,805 | 569,505 |

# Comparable Companies Analysis- Statistics and Valuation Statistics

## Statistics

| Company                          | Share     | Diluted | Equity  |       |       | Preferred |       | Enterprise |  | Revenue |       |       | EBITDA |       |       | Net Income |       |       |
|----------------------------------|-----------|---------|---------|-------|-------|-----------|-------|------------|--|---------|-------|-------|--------|-------|-------|------------|-------|-------|
|                                  | Price     | Shares  | Value   | Cash  | Debt  | Stock     | Other | Value      |  | FY 24   | FY 25 | FY 26 | FY 24  | FY 25 | FY 26 | FY 24      | FY 25 | FY 26 |
| Limbach Holdings, Inc            | \$ 77.41  | 12.1    | \$935   | (11)  | 36    | -         | -     | \$982      |  | 519     | 647   | 743   | 64     | 82    | 91    | 31         | 39    | 44    |
| Installed Building Products, Inc | \$ 257.55 | 27.2    | \$7,005 | (322) | 1,087 | -         | -     | \$8,414    |  | 2,941   | 2,971 | 3,007 | 514    | 519   | 521   | 311        | 313   | 302   |
| Primoris Services Corporation    | \$ 134.40 | 54.8    | \$7,365 | (541) | 470   | -         | -     | \$8,376    |  | 6,367   | 7,575 | 8,084 | 435    | 531   | 570   | 181        | 275   | 304   |
| MYR Group Inc                    | \$ 267.10 | 15.7    | \$4,193 | (150) | 59    | -         | (3)   | \$4,399    |  | 3,362   | 3,658 | 4,004 | 118    | 233   | 277   | 30         | 118   | 144   |
| IES Holdings, Inc                | \$ 441.72 | 20.1    | \$8,879 | (259) | -     | -         | (64)  | \$9,073    |  |         | 3,372 | 4,039 |        | 439   | 516   |            | 303   | 355   |
| Minimum:                         | 77.41     | 12.1    | \$935   |       |       |           |       | \$982      |  | 519     | 647   | 743   | 64     | 82    | 91    | 30         | 39    | 44    |
| 25th Percentile:                 | 105.91    | 13.9    | \$2,564 |       |       |           |       | \$2,691    |  | 1,124   | 1,809 | 1,875 | 77     | 157   | 184   | 30         | 79    | 94    |
| Median                           | 257.55    | 20.1    | \$7,005 |       |       |           |       | \$8,376    |  | 3,152   | 3,372 | 4,004 | 277    | 439   | 516   | 106        | 275   | 302   |
| 75th Percentile:                 | 354.41    | 41.0    | \$8,122 |       |       |           |       | \$8,744    |  | 5,616   | 5,617 | 6,062 | 494    | 525   | 546   | 279        | 308   | 330   |
| Maximum:                         | 441.72    | 54.8    | \$8,879 |       |       |           |       | \$9,073    |  | 6,367   | 7,575 | 8,084 | 514    | 531   | 570   | 311        | 313   | 355   |

|       |    |    |    |    |    |    |    |    |    |       |       |       |       |       |       |       |       |       |
|-------|----|----|----|----|----|----|----|----|----|-------|-------|-------|-------|-------|-------|-------|-------|-------|
|       |    |    |    |    |    |    |    |    |    | FY 20 | FY 21 | FY 22 | FY 20 | FY 21 | FY 22 | FY 20 | FY 21 | FY 22 |
| Alpha | -- | -- | -- | -- | -- | -- | -- | -- | -- | 118   | 102   | 125   | 11    | 16    | 29    | 10    | 20    | 29    |

## Valuation Statistics

| Company                          | Equity  | Enterprise | EV / Revenue |       |       | EV / EBITDA |       |       | P/E   |        |       |
|----------------------------------|---------|------------|--------------|-------|-------|-------------|-------|-------|-------|--------|-------|
|                                  | Value   | Value      | FY 24        | FY 25 | FY 26 | FY 24       | FY 25 | FY 26 | FY 24 | FY 25  | FY 26 |
| Limbach Holdings, Inc            | \$935   | \$982      | 1.9x         | 1.5x  | 1.3x  | 15.4x       | 12.0x | 10.7x | 30.3x | 23.9x  | 21.1x |
| Installed Building Products, Inc | \$7,005 | \$8,414    | 2.9x         | 2.8x  | 2.8x  | 16.4x       | 16.2x | 16.1x | 22.5x | 22.4x  | 23.2x |
| Primoris Services Corporation    | \$7,365 | \$8,376    | 1.3x         | 1.1x  | 1.0x  | 19.3x       | 15.8x | 14.7x | 40.7x | 26.8x  | 24.2x |
| MYR Group Inc                    | \$4,193 | \$4,399    | 1.3x         | 1.2x  | 1.1x  | 37.3x       | 18.9x | 15.9x | 15.1x | 139.8x | 29.1x |
| IES Holdings, Inc                | \$8,879 | \$9,073    | --           | 2.7x  | 2.2x  | --          | 20.7x | 17.6x | --    | 29.3x  | 25.0x |
| Minimum:                         | \$935   | \$982      | --           | 1.1x  | 1.0x  | --          | 12.0x | 10.7x | --    | 22.4x  | 21.1x |
| 25th Percentile:                 | \$2,564 | \$2,691    | 0.7x         | 1.2x  | 1.1x  | 7.7x        | 13.9x | 12.7x | 7.6x  | 23.1x  | 22.1x |
| Median                           | \$7,005 | \$8,376    | 1.3x         | 1.5x  | 1.3x  | 16.4x       | 16.2x | 15.9x | 22.5x | 26.8x  | 24.2x |
| 75th Percentile:                 | \$8,122 | \$8,744    | 2.4x         | 2.8x  | 2.5x  | 28.3x       | 19.8x | 16.9x | 35.5x | 84.5x  | 27.1x |
| Maximum:                         | \$8,879 | \$9,073    | 2.9x         | 2.8x  | 2.8x  | 37.3x       | 20.7x | 17.6x | 40.7x | 139.8x | 29.1x |

# Comparable Companies Analysis- Valuation Summary

| Valuation Summary | Valuation Multiples |       |        |       |         | Alpha<br>Figures | Implied Enterprise / Equity Value |      |        |       |         |
|-------------------|---------------------|-------|--------|-------|---------|------------------|-----------------------------------|------|--------|-------|---------|
|                   | Minimum             | 25th  | Median | 75th  | Maximum |                  | Minimum                           | 25th | Median | 75th  | Maximum |
| LFY EV/Revenue    | --                  | 0.7x  | 1.3x   | 2.4x  | 2.9x    | <b>\$118</b>     | -                                 | 77   | 156    | 281   | 338     |
| CFY EV/Revenue    | 1.1x                | 1.2x  | 1.5x   | 2.8x  | 2.8x    | <b>\$102</b>     | 113                               | 118  | 155    | 281   | 288     |
| NFY EV/Revenue    | 1.0x                | 1.1x  | 1.3x   | 2.5x  | 2.8x    | <b>\$125</b>     | 130                               | 134  | 166    | 316   | 351     |
| LFY EV/EBITDA     | --                  | 7.7x  | 16.4x  | 28.3x | 37.3x   | <b>\$11</b>      | -                                 | 85   | 180    | 311   | 410     |
| CFY EV/EBITDA     | 12.0x               | 13.9x | 16.2x  | 19.8x | 20.7x   | <b>\$16</b>      | 187                               | 216  | 252    | 308   | 322     |
| NFY EV/EBITDA     | 10.7x               | 12.7x | 15.9x  | 16.9x | 17.6x   | <b>\$29</b>      | 309                               | 366  | 456    | 485   | 505     |
| CFY P/E           | --                  | 7.6x  | 22.5x  | 35.5x | 40.7x   | <b>\$10</b>      | -                                 | 76   | 226    | 356   | 408     |
| NFY P/E           | 22.4x               | 23.1x | 26.8x  | 84.5x | 139.8x  | <b>\$20</b>      | 457                               | 472  | 546    | 1,725 | 2,852   |
| LFY P/E           | 21.1x               | 22.1x | 24.2x  | 27.1x | 29.1x   | <b>\$29</b>      | 603                               | 634  | 694    | 775   | 834     |

|                                    |              |              |              |
|------------------------------------|--------------|--------------|--------------|
|                                    | FY 20        | FY 21        | FY 22        |
| <b>Implied EBITDA Multiple (x)</b> | <b>16.4x</b> | <b>16.2x</b> | <b>15.9x</b> |
| Less: Size Discount                | 25%          | 25%          | 25%          |
| <b>Adj EBITDA Multiple (x)</b>     | <b>12.3x</b> | <b>12.2x</b> | <b>11.9x</b> |
| <b>Implied Enterprise Value</b>    | <b>\$135</b> | <b>\$189</b> | <b>\$342</b> |

|                                  |                  |
|----------------------------------|------------------|
| <b>Implied Enterprise Value:</b> | <b>\$342,313</b> |
| Less: Notes Payable              | --               |
| Less: Curr Portion LT Debt       | (46)             |
| Less: Non-current Liabilities    | (3,028)          |
| Less: Contract Liabilities       | (8,666)          |
| Plus: Cash & Equivalents         | 15,670           |
| <b>Implied Equity Value:</b>     | <b>\$346,243</b> |

# Precedent Transactions Analysis

## Transactions

| Target                  | Acquirer                | Date   | Value   | LTM Revenue | LTM EBITDA | EV / Revenue | EV / EBITDA | Toggle 0 / 1 |
|-------------------------|-------------------------|--------|---------|-------------|------------|--------------|-------------|--------------|
| Miller Electric Company | EMCOR Group             | Jan-25 | \$865   | 805         | 80         | 1.1x         | 10.8x       | 1            |
| Consolidated Mechanical | Limbach Holdings        | Dec-24 | \$23    | 23          | 4          | 1.0x         | 5.8x        | 1            |
| Industrial Air          | Limbach Holdings        | Nov-23 | \$14    | 30          | 4          | 0.5x         | 3.4x        | 1            |
| Dynamic Systems         | Quanta Services         | Jul-25 | \$1,350 | 1,050       | 160        | 1.3x         | 8.4x        | 1            |
| The Bowers Group        | Legence                 | Nov-25 | \$475   | 767         | 72         | 0.6x         | 6.6x        | 1            |
| Kent Island Mechanical  | Limbach Holdings        | Aug-24 | \$15    | 30          | 4          | 0.5x         | 3.8x        | 1            |
| Power Solutions         | Dycom Industries        | Nov-25 | \$1,950 | 1,000       | 160        | 2.0x         | 12.2x       | 1            |
| CEC Facilities          | Sterling Infrastructure | Jun-25 | \$505   | 400         | 53         | 1.3x         | 9.5x        | 1            |

|                 |         |       |     |      |       |
|-----------------|---------|-------|-----|------|-------|
| Minimum         | \$14    | 23    | 4   | 0.5x | 3.4x  |
| 25th Percentile | \$17    | 30    | 4   | 0.5x | 4.3x  |
| Median          | \$490   | 584   | 63  | 1.0x | 7.5x  |
| 75th Percentile | \$1,229 | 951   | 140 | 1.3x | 10.5x |
| Maximum         | \$1,950 | 1,050 | 160 | 2.0x | 12.2x |

| Valuation Summary | Valuation Multiples |      |        |       |         | Alpha Figures | Implied Enterprise Value |      |        |      |         |
|-------------------|---------------------|------|--------|-------|---------|---------------|--------------------------|------|--------|------|---------|
|                   | Minimum             | 25th | Median | 75th  | Maximum |               | Minimum                  | 25th | Median | 75th | Maximum |
| EV / Revenue      | 0.5x                | 0.5x | 1.0x   | 1.3x  | 2.0x    | \$168         | 76                       | 89   | 174    | 215  | 328     |
| EV / EBITDA       | 3.4x                | 4.3x | 7.5x   | 10.5x | 12.2x   | \$27          | 92                       | 115  | 204    | 285  | 331     |

|                               |           |
|-------------------------------|-----------|
| Implied Enterprise Value:     | \$204,292 |
| Less: Notes Payable           | --        |
| Less: Curr Portion LT Debt    | (46)      |
| Less: Non-current Liabilities | (3,028)   |
| Less: Contract Liabilities    | (8,666)   |
| Plus: Cash & Equivalents      | 15,670    |
| Implied Equity Value:         | \$208,222 |

# SAM Share Dynamics

## The SAM Itself Is Growing Rapidly

SE non-residential construction grew 8.3% YoY in 2023 vs. the national average. The SAM expands from ~\$4.4B today to ~\$7.6B by 2027E. Alpha maintaining ~3.8% of a much larger market yields \$289M in revenue — a 72% absolute increase.

**The denominator is expanding — that's the point.**

## Absolute Dollars Drive Returns, Not Ratios

Investors are paid on dollars, not percentages. Base case revenue grows +72% (\$168M to \$289M) and EBITDA +83% (\$29.5M to \$53.9M). These are the figures that underpin the 24% IRR and 2.9x MoM returns.

**Returns are driven by EBITDA growth, not share.**

## Fragmentation Fuels the Roll-Up Thesis

Even at the bull case 4.0%, over 96% of the SE MEP market remains fragmented. This is the opportunity. Flat or declining SAM share simply means more smaller competitors available for acquisition at attractive multiples.

**Low share = maximum roll-up runway.**

## Conservative Base Case; Share Gain Is Pure Upside

The base case assumes flat SAM share — a deliberately conservative posture. Any organic share gain or bolt-on acquisition flows directly to upside, as reflected in the bull case's 4.0% share and \$53M in EBITDA.

**Base case is the floor, not the ceiling.**

**KEY TAKEAWAY:** Alpha grows revenue +72% and EBITDA +83% in the base case while the SE MEP market expands beneath it — flat SAM share in a growing market is a strong outcome, not a concern.

# Aging Infrastructure Demand



**\$131M**

Revenue Already from Retrofit

78% of FY2022 revenue (\$131M) is retrofit, replacement, and service work — not speculation. Alpha is capturing this demand today.



**~\$40M**

School District Backlog

Three separate signed school district contracts in current backlog: \$13.6M Phase I, \$8.1M Phase II, and \$17.8M ESSER — all aging building retrofits.



**3x**

Backlog Growth Since 2019

Plumbing backlog grew from \$27.9M (2019) to \$78.8M (2022) — a near-tripling driven by aging infrastructure retrofit demand already arriving.



**\$17.8M**

ESSER Federal School Win

Alpha won an \$17.8M contract under the federal ESSER program — money specifically allocated to upgrade aging school infrastructure.



**93%**

Direct-to-Owner in Services

Services division derives 93% of revenue direct-to-owner. Building owners call Alpha directly for aging system repairs — no middleman.



**PM**

First-Mover on Replacement

Alpha's PM agreements give technicians visibility into system age before owners know it's failing — positioning Alpha as the sole-source bidder on replacement work.

**Alpha Is Already  
Capturing This  
Demand**

Aging infrastructure isn't a future opportunity — it's already in Alpha's revenue, backlog, and customer base.

**78%**

of FY2022 revenue is already retrofit, replacement & service work